

The Thundering Word

The Hitchhiker's Guide to the Investment Universe

Primer

Wall Street Life, the Universe and Everything

Our 2026 BofA primer on the size, returns, composition, flows, and valuations of the global bond & equity universe.

The 57 exhibits highlight the history of asset prices, the inexorable rise of global debt, today's K-shape economics, US dominance of bond & equity markets, the surge of tech concentration within equity indices, contrasting sector drivers of regional stock markets, themes attracting the biggest fund inflows, ETF winners & losers, and much more.

Don't Panic...18 must-know stats for investors:

- \$314tn: market value of all global bonds & stocks
- 6.5x: size of Wall St (US asset prices) vs. Main St (US GDP), all-time high
- \$348tn: total global debt, over 3x the value of global GDP
- 47%: rise in global government debt in past 6 years
- 3¼%: yield on 5-year Treasury must fall below to stabilize US debt interest costs
- 44%: Bank of Japan owns close to half of all outstanding JGBs, up from 8% in '08
- 2020s: top performing assets...bitcoin (45% p.a.), gold (19%), US stocks (15%)
- 2020s: worst performing asset...30-year US Treasury (-54%: peak-to-trough)
- 23%: Swiss franc vs US\$ in 2020s, best performing FX (Japan yen worst -32%)
- 318%: silver best performing commodity in 2020s (palladium worst -27%)
- \$167tn: global stock market capitalization, up 5x since '08 GFC low
- 37%: equity holdings as a % of US household net worth, record high
- \$25tn: US tech sector market cap, bigger than Europe/Japan/China combined
- \$3.3tn: Taiwan (GDP<\$1tn) market cap now greater than China/HK (GDP \$20tn)
- 40%: market cap of largest 10 companies as % of S&P 500 index
- 63%: peak market cap of railroads as % of US stock market in 1881
- 1.1%: dividend yield of US stock market, matching record low in 2000
- 400bps: spread between 30-year UST yield & US dividend yield...widest since 2002

28 May 2026

Investment Strategy
Global

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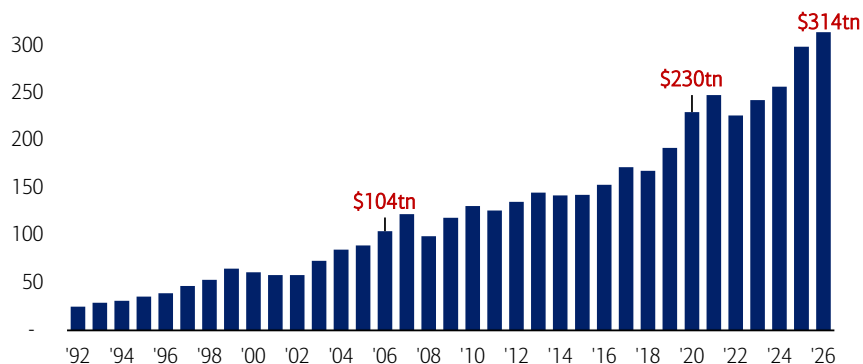
Refer to important disclosures on page 36 to 37.

The asset universe & K-shape economics

The universe of global financial assets

Exhibit 1: The value of global stocks and bonds

Global equity & debt securities outstanding (\$tn)



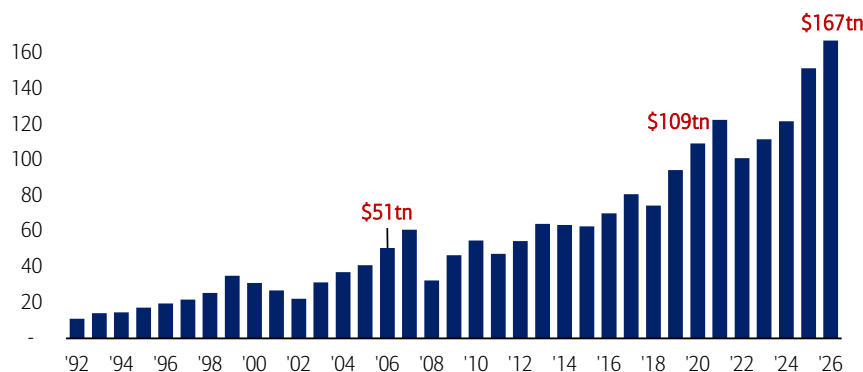
Source: BofA Global Investment Strategy, GFD Finaeon, DLX Haver, Bloomberg

BofA GLOBAL RESEARCH

- We start with the size of the universe of global financial assets.
- As of May 2026, the value of global stocks and bonds outstanding is \$314tn.
- The value of global stocks & bonds rose above \$100tn in 2006, and above \$200tn in 2020.
- Value of stocks and bonds has more than tripled from the \$99tn lows of Global Financial Crisis in '08.

Exhibit 2: The value of global stocks

Global equity securities outstanding (\$tn)



Source: BofA Global Investment Strategy, DLX Haver, Bloomberg

BofA GLOBAL RESEARCH

- The value of global equities as of May 2026 is \$167tn.
- The value of global stocks rose above \$50tn for the first time in 2006, and above \$100tn in 2020.
- The capitalization of global equities is up over 5x from its 2008 low of \$32tn.

Exhibit 3: The value of global bonds

Global debt securities outstanding (\$tn)



Source: BofA Global Investment Strategy, GFD Finaeon, Bloomberg

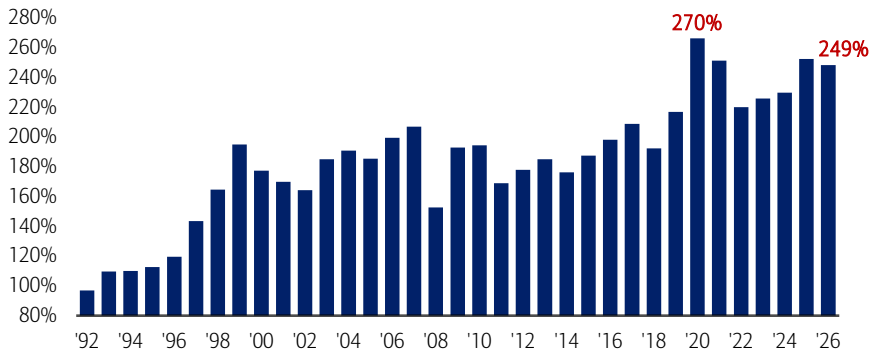
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- The value of global bonds outstanding as of May 2026 is \$147tn, up from \$66tn in 2008.
- The value of global bonds rose above \$50tn for the first time in 2006 and above \$100tn in 2020.
- The value of global bonds has more than doubled since the Global Financial Crisis.



Exhibit 4: Financial assets = 249% of global GDP

Global equity & debt securities as % of global GDP



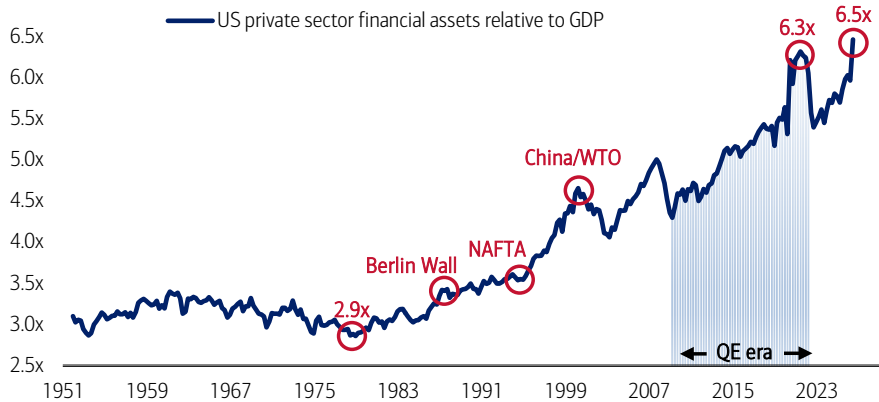
Source: BofA Global Investment Strategy, GFD Finaeon, DLX Haver, Bloomberg

BofA GLOBAL RESEARCH

- Back in 1992, the value of the world's equities & bonds was less than global GDP. Since then, asset prices have outperformed GDP...the ratio peaked at 270% in 2020 as financial assets rallied on COVID stimulus with the world in recession.
- Today the combined value of stocks & bonds equals 249% of global GDP, reflecting the big rebound in global growth in nominal terms.

Exhibit 5: The value of Wall St versus Main St at a new record high

US private sector financial assets as a % of US GDP



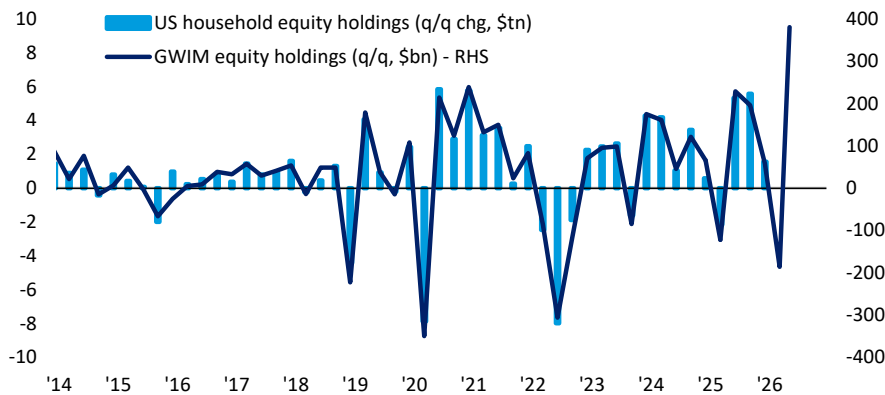
Source: BofA Global Investment Strategy, Haver; private sector financial assets = stocks, bonds, cash deposits, loans, private equity, pension fund reserves, currency, and other securities, but does not include real estate.

BofA GLOBAL RESEARCH

- The stock of US private sector financial assets (stocks & bonds, but also cash deposits, loans, private equity, and pension fund reserves) is very high relative to US GDP, illustrating the “financialization” of the US economy and the high degree of wealth inequality.
- The value of financial assets (Wall St) relative to GDP (Main St) is currently 6.5x...a new high, well above the range of 2.5x-3.5x in the 30–40-year period prior to the globalization & deregulation of the 1980s & early 1990s.

Exhibit 6: US household equity holdings rose by roughly \$10tn in 2025

US household equity holdings (q/q, \$tn) vs GWIM equity holdings (q/q, \$bn)



Source: BofA Global Investment Strategy, Bloomberg

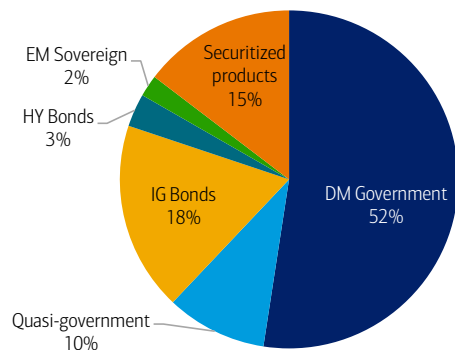
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- US households held \$68tn in equities in Dec'25, representing roughly 37% of US household net worth (record high), up from \$35tn in Dec'19).
- Using BofA GWIM equity holdings data, we calculate that US household equity wealth has risen by roughly \$5tn YTD in 2026. This follows a \$10tn gain in '25, a \$9tn gain in '24, an \$8tn gain in '23, and a \$10tn loss in '22.
- Massive equity gains & wealth gains have created a “boom-loop” and the emergence of the K-shape economy, the winners own stocks, the losers don't.

The bond universe & leverage

Exhibit 7: Developed market government bonds make up over half of the global bond market

Global fixed income securities by sector (%), as of May 2026



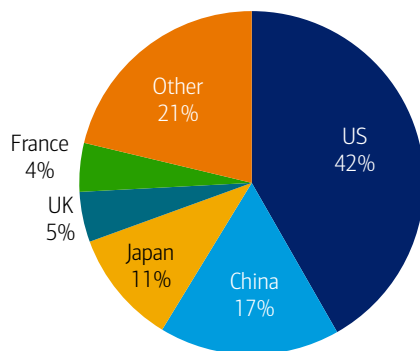
Source: BofA Global Investment Strategy, ICE BofA indices; totals may differ across exhibits due to index composition

BofA GLOBAL RESEARCH

- What is the composition of the bond universe?
- Using BofA ICE indices, developed market government bonds are the largest sector at 52% of global fixed income securities.
- The 2nd largest sector of the global bond market is IG corporate bonds (18%), followed by securitized products (15%); HY corporate bonds and EM sovereign bonds, riskier debt instruments, make up 5% of the global fixed income universe.

Exhibit 8: US Treasury market is the largest government bond market in the world

Government-issued debt securities by region (%)



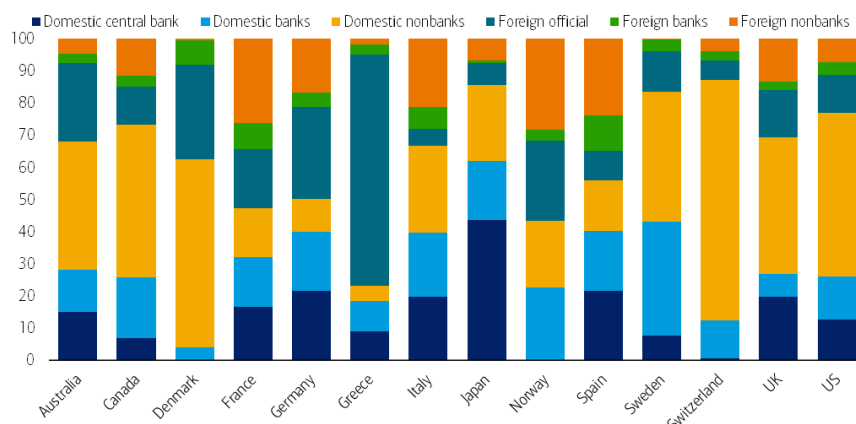
Source: BofA Global Investment Strategy, Haver, Bank for International Settlements (as of Q3'25). *\$33tn in US government debt is as of Q3'25, per BIS; in contrast to the \$39tn US public debt, this figure excludes intra-government debt & includes state/local govt debt.

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- The US Treasury market is the largest government bond market in the world, representing 42% of all government debt, up from 28% in 2008, driven by rising US government debt, currently \$33tn*.
- China is the 2nd largest bond market in the world (17% on the global index), followed by Japan (11%).

Exhibit 9: Developed markets government debt...for most, majority is domestic-owned

Ownership of developed markets government debt, end-2025 (% of total)



Source: BofA Global Investment Strategy, Sovereign investor base estimates by Arslanalp and Tsuda, IMF

BofA GLOBAL RESEARCH

- Who owns government bonds?
- In the US Treasury market, the dominant owner is domestic nonbank institutions (51%) followed by foreign owners (23%), the Fed (13%), and domestic banks (13%).
- In contrast, the Bank of Japan is the biggest owner of JGBs (at 44% of outstanding government bonds), the central banks of Germany, Italy, and Spain all own >20% of their government bond markets, and Greek government debt is 77% owned by international creditors (e.g. IMF, ECB, Eurozone governments).

Exhibit 10: Global debt reached a record-high \$348 trillion at the end of 2025

Global debt (\$tn)

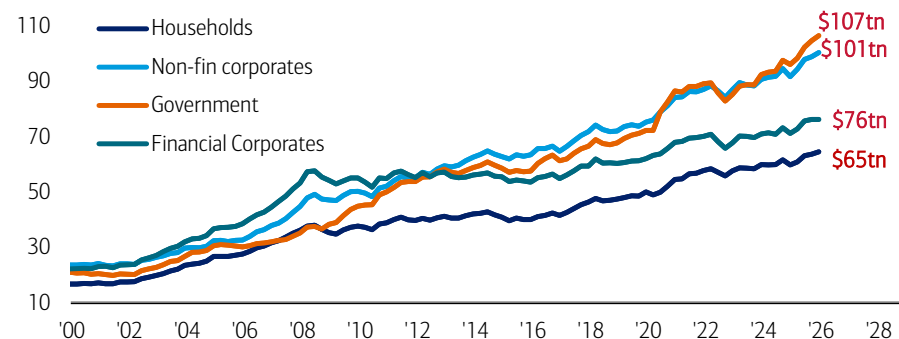


Source: BofA Global Investment Strategy, Institute of International Finance
BofA GLOBAL RESEARCH

- Turning to leverage, the growth of global debt has outpaced global GDP in the past two decades.
- In Q4'25 global debt rose to a record high of \$348tn, equivalent to 3.0x world GDP.
- The high level of debt in the 2020s has resulted in a structural rise in bond yields and has increased the burden of debt servicing.

Exhibit 11: Large rise in sectoral leverage over the past decade

Level of global debt by sector, \$tn

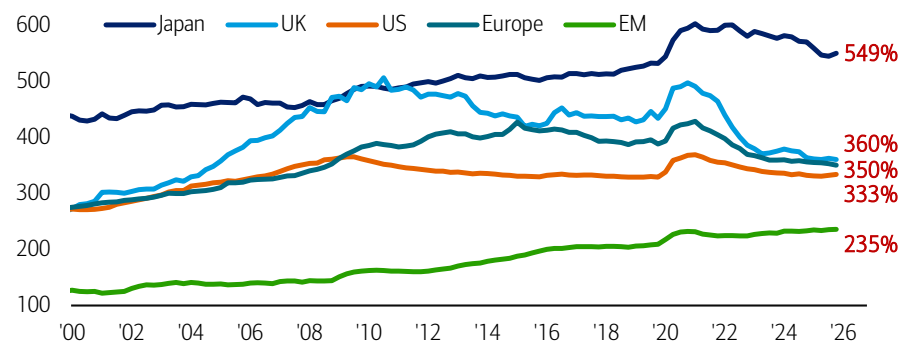


Source: BofA Global Investment Strategy, BIS, Institute of International Finance
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- Over the past decade the rise of debt in the government (\$58tn to \$107tn) and corporate sectors (\$64tn to \$101tn) have been significant relative to the growth of household & financial sector debt.
- Since 2000, government debt has increased 5.1x, corporate debt is up 4.2x, household debt is up 3.8x, and financial sector debt is up 3.4x.
- Total global government debt is up 47% decade-to-date.

Exhibit 12: Japan has the highest debt burden relative to GDP

Global debt by region, % of GDP

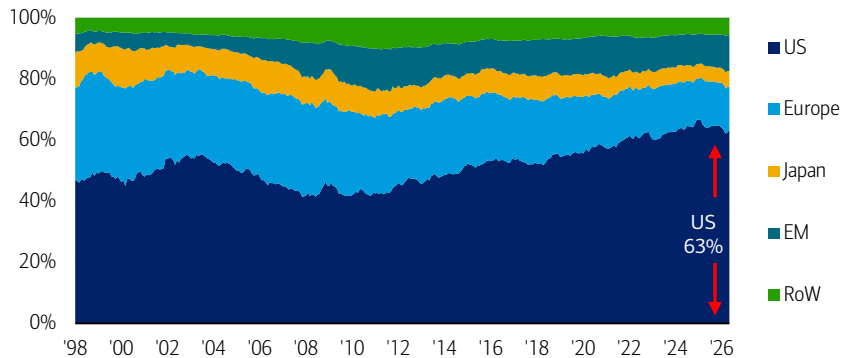


Source: BofA Global Investment Strategy, BIS, Institute of International Finance
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- Viewed by region or country, Japan has the highest debt to GDP ratio (549%), followed by the UK (360%), the US (350%), and emerging markets (235%).
- Debt-to-GDP ratios in Japan, US, and Europe are down from the 2021 peaks.

The equity universe & concentration

Exhibit 13: US share of global equity market is 63%
ACWI World regional share by market cap since 1998

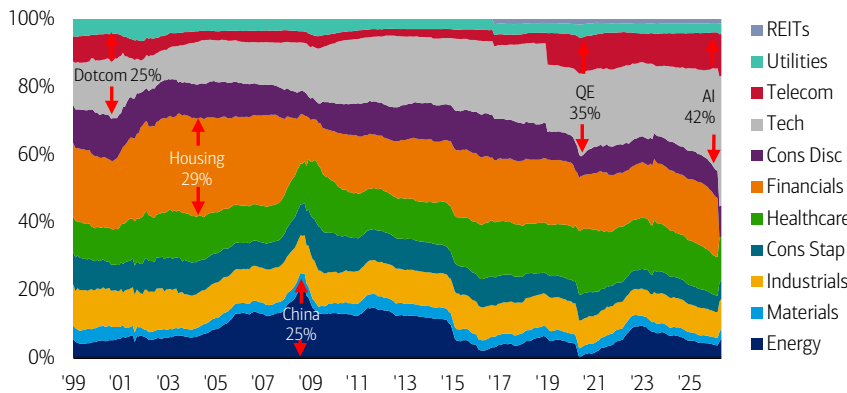


Source: BofA Global Investment Strategy, Datastream, MSCI

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- Next, the composition of the global equity universe over time.
- The global equity index is dominated by the US which accounts for 63% of the global equity market capitalization, down from a record high of 67% in Dec'24.
- European stocks, including the UK & Switzerland, currently represent 14% of the global equity market.
- Emerging markets make up 12% of the global index, and Japan 5%.

Exhibit 14: The evolution of US equity sector EPS composition
US EPS contribution by sector since 1999

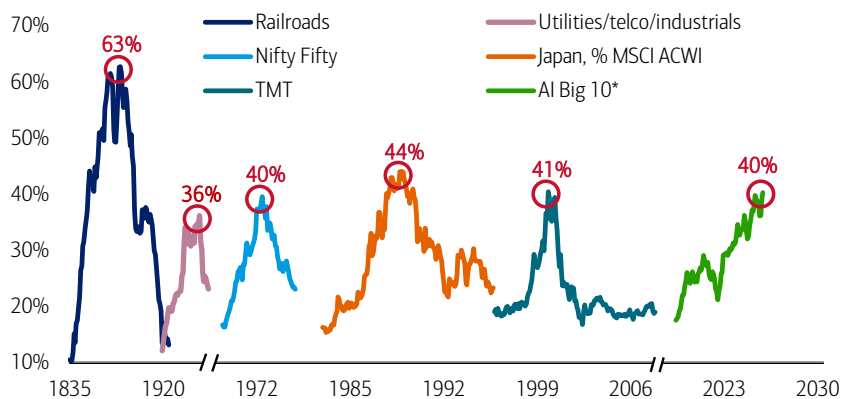


Source: BofA Global Investment Strategy, Datastream, MSCI

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- The evolution of US equity sector contribution to EPS since '99 shows...
- ...the 2000 dotcom bubble peaked with tech & telecom contributing 25% of EPS...
- ...financials contributing 29% of EPS during the housing bubble in 2000s...
- ...energy & materials contributing 25% of EPS in the 2008 China bubble...
- ...tech & telecom reached 35% of EPS in the 2020 QE bubble, only to rise to a new record 42% in '26, driven by the AI bubble.

Exhibit 15: The history of stock market bubble concentration
The bubble history of stock market concentration, measured as % of US market cap



Source: BofA Global Investment Strategy, GFD Finaeon, Bloomberg. Note: Japan is measured as % of MSCI ACWI, all others as % of US stock market. **AI Big 10* = Magnificent 7 + Broadcom, AMD, Micron.

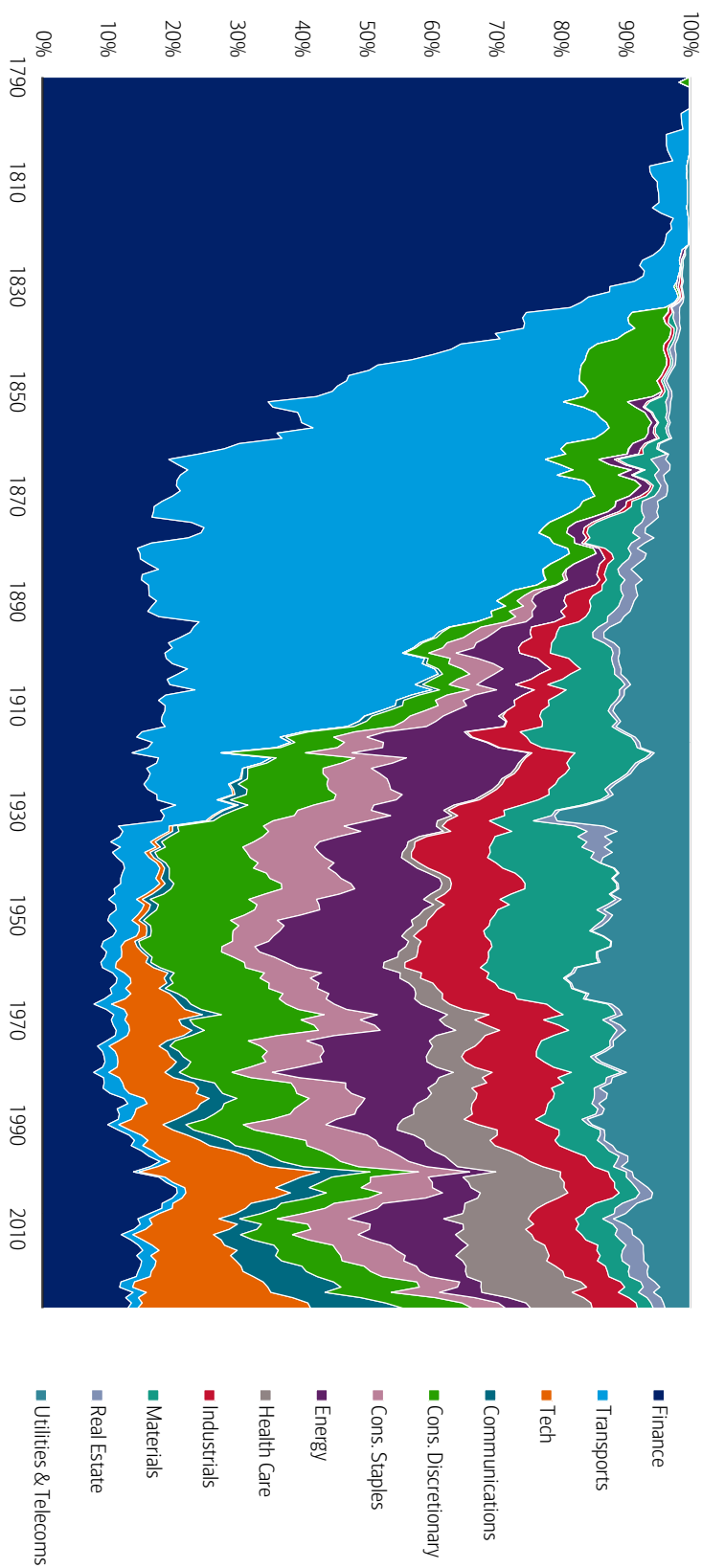
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- Concentration in the US equity market is very high. The "AI Big 10" stocks currently make up 40% of the S&P 500 market cap, a figure that could via future IPOs rise toward 50%.
- Past historical bubbles had similarly high concentration...TMT peaked at 41% of S&P 500 in 2000, Japan 44% of ACWI in 1989, Nifty Fifty 40% of S&P 500 in 1973, utilities/telco/industrials 36% of SPX in 1932.
- In contrast, the railroads peaked at 63% of US stock market in 1881.



US Equity Sectors as % of US Stock Market since 1790

Exhibit 16: Technology is the biggest sector in US stock market today
US equity sector concentration since 1790



Source: BoFA Global Investment Strategy, GFD Finean

BoFA GLOBAL RESEARCH

- This exhibit shows the sector concentration of the US stock market since 1790. Technology is currently the largest sector, making up 27% of the US stock market.
- Other notable historic concentration peaks: financials >70% of the stock market between 1790 to 1840, transportation 65% in 1880, energy 28% in 1980, tech 28% in 1999.

The world's 10 largest companies since 2000

Exhibit 17: The 10 largest companies in the world in 2000, 2007, 2009, 2021 and 2026

MSCI ACWI stocks as % market cap

Rank	Company	5/27/2026	Company	11/19/2021	Company	3/13/2009	Company	11/2/2007	Company	3/31/2000
1	Nvidia	5.0%	Apple	3.8%	Exxon	1.5%	Exxon	2.2%	Microsoft	2.5%
2	Apple	4.4%	Microsoft	3.7%	GE	1.2%	Petrochina	1.6%	Cisco	2.4%
3	Alphabet	4.2%	Aramco	2.7%	China Mobile	1.2%	Walmart	1.3%	GE	2.3%
4	Microsoft	3.0%	Amazon	2.7%	Microsoft	1.1%	China Mobile	1.1%	Intel	2.0%
5	Amazon	2.8%	Alphabet	2.6%	Gazprom	0.9%	Microsoft	1.0%	NTT Docomo	1.8%
6	Broadcom	1.9%	Tesla	1.6%	Ind & Comm Bank of China	0.9%	AT&T	0.9%	Vodafone	1.5%
7	Taiwan Semiconductor	1.8%	Nvidia	1.2%	China Petro & Chem Corp	0.8%	J&J	0.9%	Exxon	1.2%
8	Aramco	1.7%	Meta	1.2%	BP	0.8%	P&G	0.9%	Nippon Telegraph	1.1%
9	Tesla	1.6%	Tencent	0.9%	AT&T	0.7%	Ind & Comm Bank of China	0.9%	Walmart	1.1%
10	Meta	1.4%	Taiwan Semiconductor	0.8%	China Const Bank	0.7%	Chevron	0.8%	Nokia	1.1%
Total, % of MSCI ACWI		28.0%		21.2%		9.8%		11.6%		17.1%

Source: BofA Global Investment Strategy, MSCI, Datastream

BoFA GLOBAL RESEARCH

- This exhibit looks at the top 10 largest companies in the world by market capitalization in 2000, 2007, 2009, 2021 and 2026.
- The top 10 large companies in the world today include all seven of the 'Magnificent 7' stocks, as well as Broadcom, TSMC, and Aramco.
- Microsoft is the only company featured in the top 10 stocks throughout the 21st century.
- The top 10 stocks combined represent 28% of the total MSCI ACWI market cap today versus just 10% in Mar'09.





The capitalization of the global equity market

Exhibit 18: MSCI ACWI free float market cap is currently \$103 trillion

Market capitalization of the global equity market by region, country, and sector (\$bn)

	Total	Energy	Materials	Industrials	Cons. Disc.	Staples	Healthcare	Financials	IT	Telecom	Utilities	REITs
ACWI	102,854	3,965	3,831	11,155	9,332	4,927	8,022	16,296	32,331	8,725	2,559	1,308
DEVELOPED	90,281	3,531	3,061	10,257	8,225	4,564	7,711	14,005	27,098	7,940	2,309	1,298
N. America	68,367	2,710	1,710	5,976	6,405	3,088	5,474	8,567	24,777	6,997	1,461	1,140
US	65,312	2,142	1,243	5,697	6,311	2,985	5,474	7,366	24,542	6,975	1,380	1,140
Canada	3,055	567	467	279	94	103	2	1,201	235	22	81	2
Europe	14,263	713	799	2,740	922	1,216	1,835	3,390	1,334	503	718	48
UK	3,204	357	301	410	127	458	450	816	35	69	164	18
Switzerland	2,032	-	118	273	121	290	772	402	17	22	4	-
Eurozone	7,717	315	307	1,589	648	417	432	1,902	1,222	296	536	30
France	2,160	185	151	668	259	175	183	283	81	61	84	30
Germany	1,992	-	99	615	160	28	119	416	306	135	90	-
Netherlands	1,243	-	25	52	60	97	21	199	744	46	-	4
Spain	840	29	-	89	93	-	3	402	5	33	186	-
Italy	725	67	4	74	72	4	7	352	-	14	132	-
Asia Pacific	7,395	109	548	1,517	898	260	362	1,936	919	441	130	110
Japan	5,151	49	187	1,314	761	195	289	920	904	382	51	6
Australia	1,417	60	361	72	90	51	60	586	15	27	23	72
Hong Kong	426	-	-	73	13	9	-	204	-	6	42	14
Singapore	362	-	-	50	35	5	-	217	-	26	4	19
EMERGING	12,573	434	770	898	1,107	363	311	2,291	5,234	785	249	10
EM Asia	10,454	248	372	786	1,014	225	293	1,417	5,222	659	146	-
China	2,660	88	147	154	687	78	126	506	297	482	51	-
Korea	2,765	17	33	386	145	24	52	167	1,890	44	7	-
Taiwan	3,267	2	40	47	5	15	12	216	2,900	33	-	-
India	1,398	122	127	158	169	84	89	403	103	66	58	-
EMEA	1,268	99	218	38	75	42	12	602	9	93	33	2
South Africa	389	2	153	5	46	21	2	132	-	28	-	2
LATAM	851	87	180	74	18	96	6	272	3	33	70	10
Brazil	504	87	75	39	11	28	6	183	3	9	64	-
Mexico	226	-	69	26	-	65	-	32	-	23	-	10

Source: BoFA Global Investment Strategy, MSCI, Datastream; data as of 5/26/26

BoFA GLOBAL RESEARCH

- The next three exhibits show the country and sector composition of the global equity market.
- The free float capitalization of the global equity market (MSCI ACWI) is currently \$103tn. The US market equity accounts for \$65tn (63%). The next five biggest markets are Eurozone (\$7.7tn), Japan (\$5.2tn), Taiwan (\$3.3tn), UK (\$3.2tn), Canada (\$3.1tn).
- The market cap of the US tech sector, at \$25tn, is larger than the entire combined market cap of Europe, Japan, and China's stock markets (\$22tn).

The country weightings of global equity market

Exhibit 19: The US equity market dominates the global technology (76%), telecom (80%), and healthcare (68%) sectors
Country/region weightings as a % of sector

ACWI	Total	Energy	Materials	Industrials	Cons. Disc.	Staples	Healthcare	Financials	IT	Telecom	Utilities	REITs
	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0
DEVELOPED	87.8	89.0	79.9	92.0	88.1	92.6	96.1	85.9	83.8	91.0	90.3	99.2
N. America	66.5	68.3	44.6	53.6	68.6	62.7	68.2	52.6	76.6	80.2	57.1	87.1
US	63.5	54.0	32.4	51.1	67.6	60.6	68.2	45.2	75.9	79.9	53.9	87.1
Canada	3.0	14.3	12.2	2.5	1.0	2.1	0.0	7.4	0.7	0.2	3.2	0.2
Europe	13.9	18.0	20.8	24.6	9.9	24.7	22.9	20.8	4.1	5.8	28.1	3.7
UK	3.1	9.0	7.8	3.7	1.4	9.3	5.6	5.0	0.1	0.8	6.4	1.4
Switzerland	2.0	-	3.1	2.4	1.3	5.9	9.6	2.5	0.1	0.3	0.2	-
Eurozone	7.5	7.9	8.0	14.2	6.9	8.5	5.4	11.7	3.8	3.4	21.0	2.3
France	2.1	4.7	3.9	6.0	2.8	3.6	2.3	1.7	0.3	0.7	3.3	2.3
Germany	1.9	-	2.6	5.5	1.7	0.6	1.5	2.6	0.9	1.5	3.5	-
Netherlands	1.2	-	0.6	0.5	0.6	2.0	0.3	1.2	2.3	0.5	-	0.3
Spain	0.8	0.7	-	0.8	1.0	-	0.0	2.5	0.0	0.4	7.3	-
Italy	0.7	1.7	0.1	0.7	0.8	0.1	0.1	2.2	-	0.2	5.1	-
Asia Pacific	7.2	2.7	14.3	13.6	9.6	5.3	4.5	11.9	2.8	5.1	5.1	8.4
Japan	5.0	1.2	4.9	11.8	8.2	4.0	3.6	5.6	2.8	4.4	2.0	0.5
Australia	1.4	1.5	9.4	0.6	1.0	1.0	0.8	3.6	0.0	0.3	0.9	5.5
Hong Kong	0.4	-	-	0.7	0.1	0.2	-	1.3	-	0.1	1.6	1.0
Singapore	0.4	-	-	0.4	0.4	0.1	-	1.3	-	0.3	0.2	1.5
EMERGING	12.2	11.0	20.1	8.0	11.9	7.4	3.9	14.1	16.2	9.0	9.7	0.8
EM Asia	10.2	6.3	9.7	7.0	10.9	4.6	3.7	8.7	16.2	7.6	5.7	-
China	2.6	2.2	3.8	1.4	7.4	1.6	1.6	3.1	0.9	5.5	2.0	-
Korea	2.7	0.4	0.9	3.5	1.6	0.5	0.6	1.0	5.8	0.5	0.3	-
Taiwan	3.2	0.1	1.1	0.4	0.0	0.3	0.1	1.3	9.0	0.4	-	-
India	1.4	3.1	3.3	1.4	1.8	1.7	1.1	2.5	0.3	0.8	2.3	-
EMEA	1.2	2.5	5.7	0.3	0.8	0.9	0.2	3.7	0.0	1.1	1.3	0.1
South Africa	0.4	0.1	4.0	0.0	0.5	0.4	0.0	0.8	-	0.3	-	0.1
LATAM	0.8	2.2	4.7	0.7	0.2	1.9	0.1	1.7	0.0	0.4	2.7	0.8
Brazil	0.5	2.2	1.9	0.4	0.1	0.6	0.1	1.1	0.0	0.1	2.5	-
Mexico	0.2	-	1.8	0.2	-	1.3	-	0.2	-	0.3	-	0.8

Source: BofA Global Investment Strategy, MSCI, Datastream; data as of 5/26/26

BoFA GLOBAL RESEARCH

- The US equity market accounts for 76% of the global technology sector, 80% of telecom, and 68% of healthcare, as well as 87% of REITs.
- The European market accounts for 25% of global consumer staples, 25% of industrials, and 21 % of materials.
- Emerging markets represent 20% of the global materials sector and 14% of global financials.





The sector weightings of global equity market

Exhibit 20: US/Taiwan/Korea are dominated by tech, Europe by cyclical, South Africa/Canada/Brazil by resources
Sector weightings as a % of country/region

	Total	Energy	Materials	Industrials	Cons. Disc.	Staples	Healthcare	Financials	IT	Telecom	Utilities	REITs
ACWI	100	3.9	3.7	10.8	9.1	4.8	7.8	15.8	31.4	8.5	2.5	1.3
DEVELOPED	100	3.9	3.4	11.4	9.1	5.1	8.5	15.5	30.0	8.8	2.6	1.4
N. America	100	4.0	2.5	8.7	9.4	4.5	8.0	12.5	36.2	10.2	2.1	1.7
US	100	3.3	1.9	8.7	9.7	4.6	8.4	11.3	37.6	10.7	2.1	1.7
Canada	100	18.6	15.3	9.1	3.1	3.4	0.1	39.3	7.7	0.7	2.7	0.1
Europe	100	5.0	5.6	19.2	6.5	8.5	12.9	23.8	9.4	3.5	5.0	0.3
UK	100	11.1	9.4	12.8	4.0	14.3	14.0	25.5	1.1	2.1	5.1	0.6
Switzerland	100	-	5.8	13.4	5.9	14.3	38.0	19.8	0.8	1.1	0.2	-
Eurozone	100	4.1	4.0	20.6	8.4	5.4	5.6	24.6	15.8	3.8	7.0	0.4
France	100	8.6	7.0	30.9	12.0	8.1	8.5	13.1	3.8	2.8	3.9	1.4
Germany	100	-	5.0	30.9	8.0	1.4	6.0	20.9	15.4	6.8	4.5	-
Netherlands	100	-	2.0	4.2	4.8	7.8	1.7	16.0	59.9	3.7	-	0.3
Spain	100	3.5	-	10.6	11.0	-	0.4	47.9	0.6	3.9	22.2	-
Italy	100	9.2	0.6	10.2	9.9	0.6	0.9	48.5	-	2.0	18.1	-
Asia Pacific	100	1.5	7.4	20.5	12.1	3.5	4.9	26.2	12.4	6.0	1.8	1.5
Japan	100	0.9	3.6	25.5	14.8	3.8	5.6	17.9	17.6	7.4	1.0	0.1
Australia	100	4.2	25.5	5.1	6.3	3.6	4.3	41.4	1.0	1.9	1.6	5.1
Hong Kong	100	-	-	17.2	3.0	2.2	-	47.9	-	1.3	9.9	3.2
Singapore	100	-	-	13.9	9.7	1.5	-	59.9	-	7.2	1.2	5.3
EMERGING	100	3.5	6.1	7.1	8.8	2.9	2.5	18.2	41.6	6.2	2.0	0.1
EM Asia	100	2.4	3.6	7.5	9.7	2.2	2.8	13.6	49.9	6.3	1.4	-
China	100	3.3	5.5	5.8	25.8	2.9	4.7	19.0	11.1	18.1	1.9	-
Korea	100	0.6	1.2	14.0	5.3	0.9	1.9	6.0	68.3	1.6	0.2	-
Taiwan	100	0.1	1.2	1.4	0.1	0.4	0.4	6.6	88.8	1.0	-	-
India	100	8.7	9.1	11.3	12.1	6.0	6.3	28.8	7.4	4.7	4.2	-
EMEA	100	7.8	17.2	3.0	5.9	3.3	1.0	47.5	0.7	7.3	2.6	0.2
South Africa	100	0.5	39.3	1.2	11.7	5.3	0.6	33.9	-	7.2	-	0.5
LATAM	100	10.2	21.1	8.7	2.1	11.3	0.7	31.9	0.4	3.8	8.2	1.2
Brazil	100	17.2	14.8	7.8	2.2	5.5	1.1	36.2	0.7	1.8	12.7	-
Mexico	100	-	30.6	11.6	-	28.9	-	14.2	-	10.4	-	4.4

Source: BofA Global Investment Strategy, MSCI, Datastream; datas of 5/26/26

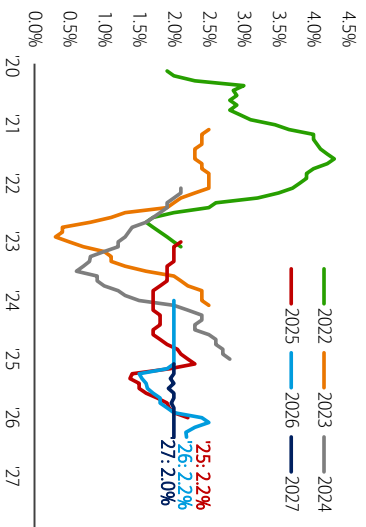
BoFA GLOBAL RESEARCH

- Technology is the biggest equity sector in Taiwan (89% of market cap), Korea (68%), and the US (38%).
- Cyclical (industrials & consumer discretionary) drive the equity markets of Japan (40% of market cap) and the Eurozone (29%).
- Financials is the biggest sector in Australia (41%), Canada (39%), and the UK (26%).
- The energy & materials sectors drive the equity markets of South Africa (40%), Canada (34%), Brazil (32%), Mexico (31%), and Australia (30%).

The macro backdrop in 2026

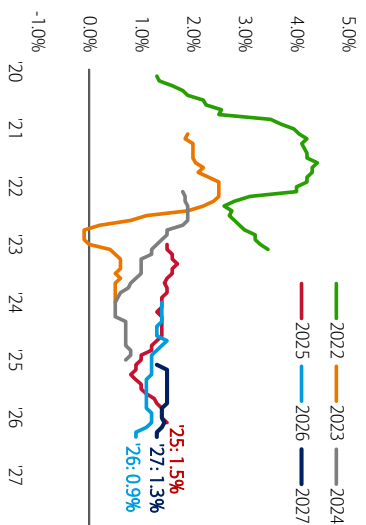
Growth & earnings expectations

Exhibit 21: US real GDP to grow 2.2% in '26
US real GDP growth forecast (%)



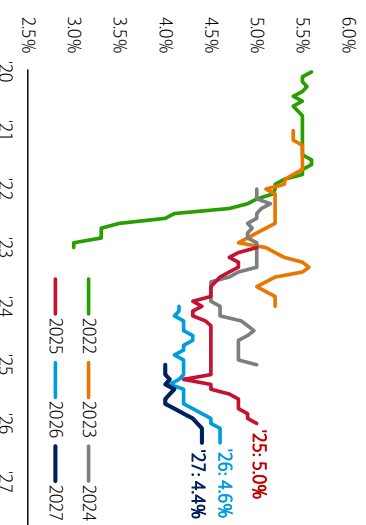
Source: BofA Global Investment Strategy, Bloomberg
BofA GLOBAL RESEARCH

Exhibit 22: Eurozone real GDP to slow to 0.9% in '26
Eurozone real GDP forecast (%)



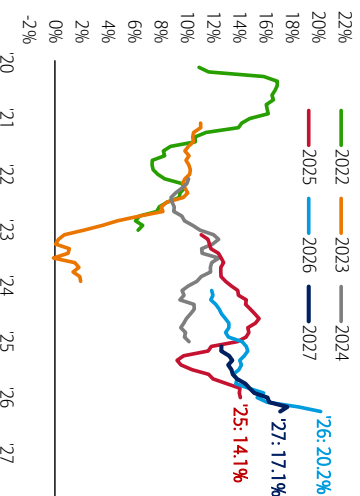
Source: BofA Global Investment Strategy, Bloomberg
BofA GLOBAL RESEARCH

Exhibit 23: China real GDP to grow 4.6% in '26
China real GDP forecast (%)



Source: BofA Global Investment Strategy, Bloomberg
BofA GLOBAL RESEARCH

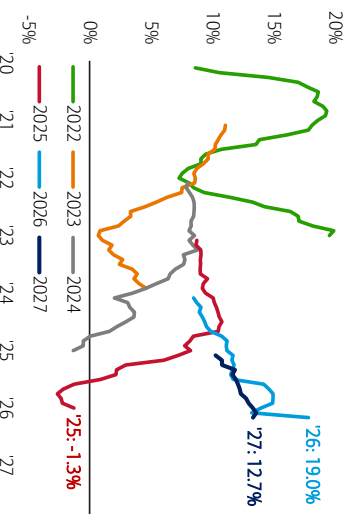
Exhibit 24: US EPS to grow 20.2% in '26
MSCI US EPS growth estimates (%)



Source: BofA Global Markets, Datastream, IBES, MSCI

BofA GLOBAL RESEARCH

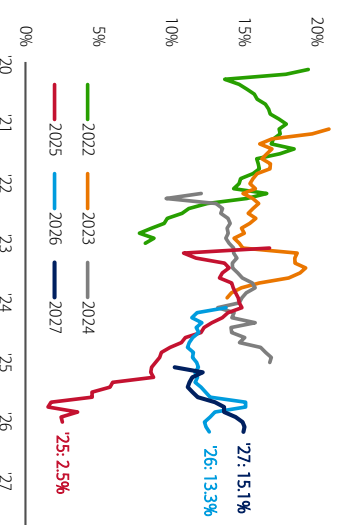
Exhibit 25: Eurozone EPS to grow 19.0% in '26
MSCI Eurozone EPS growth estimates (%)



Source: BofA Global Markets, Datastream, IBES, MSCI

BofA GLOBAL RESEARCH

Exhibit 26: China EPS to grow 13.3% in '26
MSCI China EPS growth estimates (%)



Source: BofA Global Markets, Datastream, IBES, MSCI

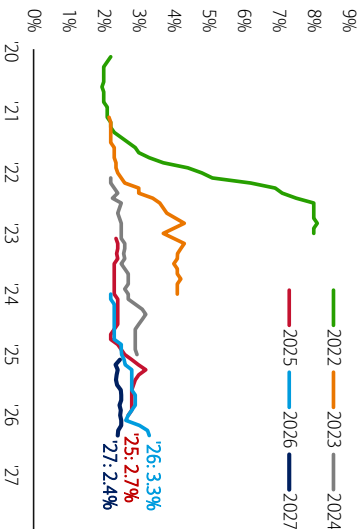
BofA GLOBAL RESEARCH

- 2025-2027 consensus real GDP forecasts: US growth 2-2.5%, Eurozone growth 1-1.5%, China growth 4-5%.
- 2025-2027 consensus EPS forecasts: US growth 15-20%, Eurozone growth 10-20%, China growth 15%.



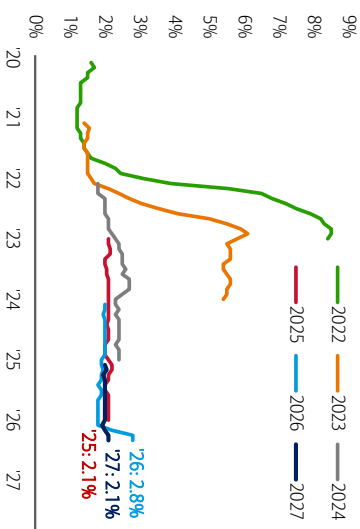
Inflation & bond yield expectations

Exhibit 27: US inflation to rise 3.3% in '26
US CPI forecast (%)



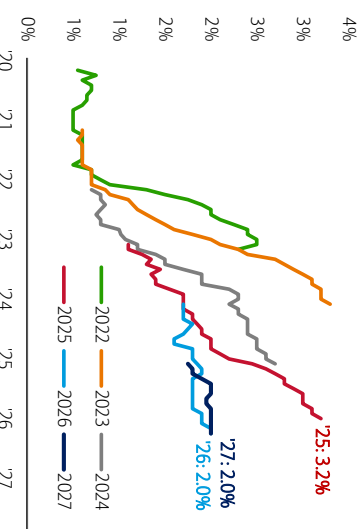
Source: BofA Global Investment Strategy, Bloomberg
BoFA GLOBAL RESEARCH

Exhibit 28: Eurozone CPI to rise 2.8% in '26
Eurozone CPI forecast (%)



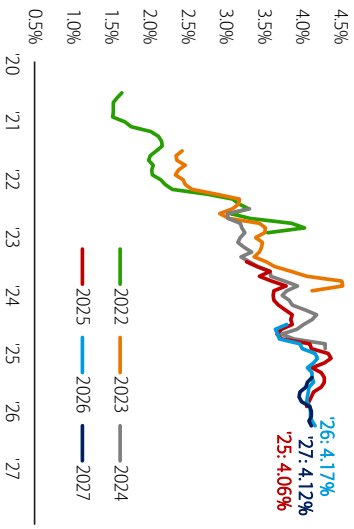
Source: BofA Global Investment Strategy, Bloomberg
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Exhibit 29: Japan CPI to rise 2.0% in '26
Japan CPI forecast (%)



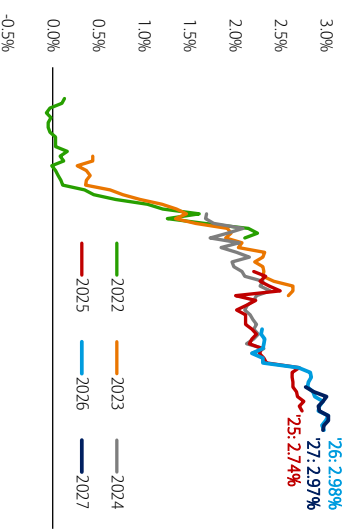
Source: BofA Global Investment Strategy, Bloomberg
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Exhibit 30: US 10yr Treasury yield at 4.2% in '26
US 10yr Treasury yield estimates (%)



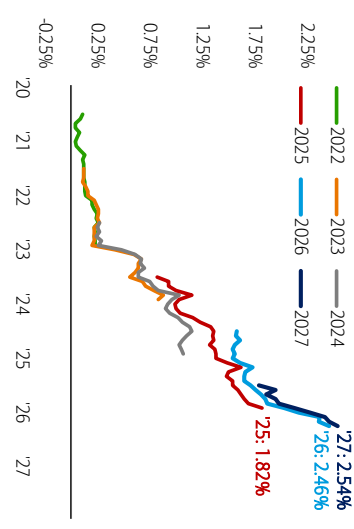
Source: BofA Global Investment Strategy, Bloomberg
BoFA GLOBAL RESEARCH

Exhibit 31: German 10yr Bund yield at 3.0% in '26
German 10yr Bund yield estimates (%)



Source: BofA Global Investment Strategy, Bloomberg
BoFA GLOBAL RESEARCH

Exhibit 32: Japan 10yr bond yield at 2.5% in '26
Japan 10yr bond yield estimates (%)



Source: BofA Global Investment Strategy, Bloomberg
BoFA GLOBAL RESEARCH

- 2025-2027 consensus inflation forecasts: US CPI 2.5-3.5%, Eurozone CPI 2-3%, Japan CPI 2-3%. 1-1.5%, China growth 4-5%.
- 2025-2027 consensus 10-year bond yield forecasts: US 4-4.5%, Germany 2.5-3%, Japan 2.5%.

A short history of asset price returns

Cross-asset returns since 2010

Exhibit 33: Cross-asset total returns since 2010

The asset class quilt of total returns

2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026*
REITs 28.1%	30Y US Treasury 35.7%	EM stocks 18.6%	US stocks 32.4%	REITs 32.0%	US dollar 9.3%	EM stocks 12.0%	EM stocks 37.8%	US dollar 4.4%	US stocks 31.5%	Gold 23.9%	REITs 45.9%	Commodities 22.0%	US stocks 26.3%	Gold 25.5%	Gold 66.6%	Commodities 86.5%
Gold 27.8%	US IG bonds 14.3%	REITs 17.1%	DM stocks 27.4%	30Y US Treasury 30.4%	REITs 4.5%	US stocks 12.0%	DM stocks 23.1%	Cash 2.0%	DM stocks 28.4%	30Y US Treasury 19.1%	Commodities 38.5%	US dollar 8.2%	DM stocks 24.4%	US stocks 24.9%	EM stocks 34.4%	EM stocks 51.4%
EM stocks 19.2%	Gold 11.7%	DM stocks 16.5%	REITs 1.2%	US stocks 13.7%	US stocks 1.4%	Commodities 9.7%	US stocks 21.8%	US IG bonds -0.5%	REITs 23.1%	EM stocks 18.7%	US stocks 28.7%	Cash 2.2%	Gold 14.6%	Commodities 19.3%	DM stocks 21.6%	REITs 47.8%
Commodities 17.6%	REITs 9.4%	US stocks 16.0%	US dollar 0.3%	US dollar 12.8%	US IG bonds 1.3%	Gold 9.1%	Gold 11.9%	Gold -1.1%	EM stocks 18.9%	US stocks 18.4%	DM stocks 22.3%	Gold 0.4%	REITs 14.0%	DM stocks 19.1%	US stocks 17.9%	Gold 19.7%
US stocks 15.1%	US stocks 2.1%	Gold 5.9%	Cash 0.1%	US IG bonds 11.7%	DM stocks 0.5%	DM stocks 7.3%	30Y US Treasury 9.7%	30Y US Treasury -2.4%	Gold 18.8%	US dollar 6.4%	US dollar -12.0%	US IG bonds -12.0%	EM stocks 10.3%	REITs 8.1%	US IG bonds 5.9%	DM stocks 18.8%
DM stocks 12.3%	US dollar 1.5%	US IG bonds 4.5%	EM stocks -2.3%	DM stocks 5.5%	Cash 0.1%	US IG bonds 6.8%	US IG bonds 5.6%	REITs -4.2%	30Y US Treasury 16.4%	US IG bonds 9.8%	Cash 0.0%	DM stocks -17.7%	US IG bonds 5.8%	EM stocks 8.0%	Cash 4.3%	US stocks 18.4%
US IG bonds 8.7%	Cash 0.1%	30Y US Treasury 1.8%	US IG bonds -3.1%	Cash 0.0%	30Y US Treasury -2.3%	REITs 6.7%	REITs 3.8%	US stocks -4.4%	US IG bonds 11.8%	Cash 0.3%	US IG bonds -1.4%	US stocks -18.1%	Cash 5.4%	US dollar 7.0%	30Y US Treasury 4.1%	Cash 3.8%
30Y US Treasury 7.7%	DM stocks -5.0%	Cash 0.1%	Commodities -5.2%	Gold -0.2%	Gold -11.4%	US dollar 3.6%	Commodities 1.7%	DM stocks -8.2%	Commodities 11.8%	US dollar -6.7%	EM stocks -2.2%	EM stocks -19.7%	30Y US Treasury 4.0%	Cash 5.2%	30Y US Treasury 3.8%	US IG bonds 2.9%
US dollar 1.5%	Commodities -8.2%	US dollar -0.5%	30Y US Treasury -14.7%	EM stocks -1.8%	EM stocks -14.9%	30Y US Treasury 1.6%	Cash 1.0%	Commodities -10.7%	Cash 2.1%	Commodities -9.3%	30Y US Treasury -3.6%	REITs -26.0%	Commodities 0.0%	US IG bonds -1.1%	REITs 3.7%	US dollar -0.8%
Cash 0.1%	EM stocks -18.2%	Commodities -3.3%	Gold -27.7%	Commodities -17.9%	Commodities -23.2%	Cash 0.3%	US dollar -9.9%	EM stocks -14.2%	US dollar 0.2%	REITs -11.2%	Gold -4.3%	30Y US Treasury -33.8%	US dollar -2.1%	30Y US Treasury -7.9%	US dollar -9.4%	30Y US Treasury -1.7%

Source: BoFA Global Investment Strategy, GFD Finean. *2026 YTD annualized as of 4/30/26

BoFA GLOBAL RESEARCH

- The next five exhibits show asset price returns by decade back to the 1970s. We start with returns from 2010 to 2026.
- The 2020s has been a decade of pandemic, wars, fiscal excess, end of QE, return of inflation; strongest returns have been from Bitcoin (45.1% decade-to-date annualized), gold (19.1%), commodities (14.3%); US stocks (15.2%); in contrast, 30-year US Treasury (-4.4%) has been a very poor performer.
- The 2010s was a decade of revolutionary monetary policy excess (QE, ZIRP, NIRP, YCC), European debt crises, end of globalization (TPP, Brexit, Trump); 2010s were a period of very strong returns for most assets...US stocks (13.6% annualized), REITs (11.6%) outperformed, commodities (-3.6%), cash (0.6%) underperformed.





Cross-asset returns – 2000s

Exhibit 34: Cross-asset total returns in the 2000s

The asset class quilt of total returns

2000	2001	2002	2003	2004	2005	2006	2007	2008	2009
Commodities 31.9%	REITs 12.4%	Commodities 33.6%	EM stocks 56.3%	REITs 28.8%	EM stocks 34.5%	REITs 36.0%	EM stocks 39.8%	30Y US Treasury 41.8%	EM stocks 79.0%
REITs 31.0%	US IG bonds 11.3%	Gold 25.6%	REITs 40.8%	EM stocks 26.0%	Commodities 18.8%	EM stocks 32.6%	Gold 31.9%	US IG bonds 13.4%	DM stocks 30.8%
30Y US Treasury 22.2%	US dollar 6.6%	30Y US Treasury 14.2%	DM stocks 33.8%	Commodities 22.3%	Gold 17.8%	Gold 23.2%	Commodities 22.1%	US dollar 6.0%	REITs 28.5%
US IG bonds 11.6%	30Y US Treasury 5.3%	US IG bonds 11.1%	US stocks 28.7%	DM stocks 15.2%	REITs 13.8%	DM stocks 20.7%	30Y US Treasury 11.1%	Gold 4.3%	Gold 26.5%
US dollar 7.5%	Cash 3.3%	REITs 3.6%	Commodities 24.2%	US stocks 10.9%	US dollar 12.8%	US stocks 15.8%	DM stocks 9.6%	Cash 1.2%	US stocks 26.5%
Cash 6.0%	Gold 0.7%	Cash 1.6%	Gold 19.9%	30Y US Treasury 10.5%	30Y US Treasury 10.6%	Cash 5.0%	US stocks 5.5%	Commodities -35.0%	Commodities 23.7%
Gold -5.4%	EM stocks -2.4%	EM stocks -6.0%	US IG bonds 9.2%	US IG bonds 6.5%	DM stocks 10.0%	US IG bonds 4.2%	US IG bonds 4.7%	US stocks -37.0%	Cash 0.2%
US stocks -9.1%	US stocks -11.9%	US dollar -12.8%	30Y US Treasury 1.5%	Gold 4.6%	US IG bonds 7.7%	30Y US Treasury 0.1%	Cash 4.5%	REITs -39.2%	US IG bonds 0.0%
DM stocks -12.9%	DM stocks -16.5%	DM stocks -19.5%	Cash 1.0%	Cash 1.4%	US stocks 4.9%	Commodities -2.9%	US dollar -8.3%	DM stocks -40.3%	US dollar -4.2%
EM stocks -30.7%	Commodities -21.8%	US stocks -22.1%	US dollar -14.7%	US dollar -7.0%	Cash 3.3%	US dollar -8.2%	REITs -17.6%	EM stocks -53.2%	30Y US Treasury -25.6%





Exhibit 34: Cross-asset total returns in the 2000s

The asset class quilt of total returns

- The 2000s was a decade that saw the Tech Bubble burst, the 9/11 terrorist attacks, China's accession to the WTO, wars in Afghanistan and Iraq, the Chinese equity market bubble & burst, the subprime mortgage crisis, and the global financial crisis.
- The top performers were gold (14.3% annualized), REITs (10.7%), EM stocks (10.1%).
- The worst performers were the US dollar (-2.7%) and the S&P 500 (-0.9%).

Cross-asset returns – 1990s

Exhibit 35: Cross-asset total returns in the 1990s

The asset class quilt of total returns

1990	1991	1992	1993	1994	1995	1996	1997	1998	1999
US IG bonds 8.7%	EM stocks 59.9%	REITs 15.1%	EM stocks 74.8%	Commodities 24.3%	US stocks 37.6%	REITs 37.0%	US stocks 33.4%	US stocks 28.6%	EM stocks 66.6%
Cash 7.7%	US stocks 30.5%	EM stocks 11.4%	DM stocks 23.1%	DM stocks 5.6%	30Y US Treasury 35.7%	Commodities 36.4%	REITs 19.5%	DM stocks 24.8%	Commodities 31.8%
30Y US Treasury 5.7%	REITs 23.8%	US dollar 10.6%	30Y US Treasury 21.5%	Cash 4.4%	DM stocks 21.3%	US stocks 23.0%	30Y US Treasury 17.7%	30Y US Treasury 19.2%	DM stocks 25.4%
Commodities 5.1%	30Y US Treasury 19.5%	US IG bonds 10.5%	Gold 17.7%	REITs 2.7%	US IG bonds 21.2%	DM stocks 14.0%	DM stocks 16.2%	US IG bonds 10.8%	US stocks 21.0%
US stocks -3.1%	DM stocks 19.0%	30Y US Treasury 8.1%	REITs 15.1%	US stocks 1.3%	Commodities 17.8%	EM stocks 6.0%	US dollar 13.1%	Cash 4.9%	US dollar 8.2%
Gold -3.1%	US IG bonds 15.4%	US stocks 7.6%	US IG bonds 14.3%	US IG bonds -1.9%	REITs 12.2%	Cash 5.1%	US IG bonds 10.8%	Gold -0.8%	Cash 4.8%
EM stocks -10.6%	Cash 5.4%	Cash 3.5%	US stocks 10.1%	Gold -2.2%	Cash 5.6%	US IG bonds 4.3%	Cash 5.2%	US dollar -5.5%	Gold 0.9%
US dollar -10.8%	US dollar 0.5%	Commodities -3.2%	Commodities 6.1%	EM stocks -7.3%	Gold 1.0%	US dollar 4.0%	Commodities -2.0%	REITs -17.0%	REITs -2.6%
DM stocks -16.5%	Commodities -4.0%	DM stocks -4.7%	US dollar 4.9%	US dollar -8.4%	US dollar -4.5%	30Y US Treasury -2.5%	EM stocks -11.6%	EM stocks -25.3%	US IG bonds -2.8%
REITs -23.4%	Gold -8.6%	Gold -5.7%	Cash 3.0%	30Y US Treasury -10.6%	EM stocks -5.2%	Gold -4.6%	Gold -21.4%	Commodities -27.2%	30Y US Treasury -12.8%

Source: BofA Global Investment Strategy, GFD Finaeon

BoFA GLOBAL RESEARCH

- The 1990s were a decade that saw the Japan bubble burst, the zenith of globalization (Maastricht Treaty, NAFTA, GATT signed), balanced budgets across the globe, periodic systemic events (Mexico and Asian financial crises), the introduction of the Euro, and the internet bubble.
- US stocks were the best performing asset class in the 1990s (18.2% annualized), followed by EM stocks (11.1%), and the 30-year Treasury (9.1%)
- Gold was the worst performing asset (-3.1% annualized), followed by the US dollar (0.9%).





Cross-asset returns – 1980s

Exhibit 36: Cross-asset total returns in the 1980s

The asset class quilt of total returns

1980	1981	1982	1983	1984	1985	1986	1987	1988	1989
EM stocks 35.9%	REITs 17.9%	30Y US Treasury 47.1%	REITs 32.2%	REITs 21.9%	DM stocks 41.8%	DM stocks 42.8%	Gold 24.5%	EM stocks 40.4%	EM stocks 65.0%
REITs 33.1%	US dollar 15.8%	US IG bonds 32.7%	DM stocks 23.3%	US IG bonds 16.7%	30Y US Treasury 36.6%	30Y US Treasury 30.9%	EM stocks 22.7%	DM stocks 24.0%	US stocks 31.7%
US stocks 32.3%	Cash 14.6%	US stocks 21.5%	US stocks 22.5%	30Y US Treasury 16.3%	US stocks 31.6%	US IG bonds 19.8%	Commodities 18.7%	REITs 17.5%	30Y US Treasury 21.3%
DM stocks 27.7%	US IG bonds 9.6%	REITs 20.9%	EM stocks 21.9%	US dollar 14.9%	US IG bonds 27.6%	REITs 19.7%	DM stocks 16.8%	US stocks 16.6%	DM stocks 17.2%
Commodities 22.9%	30Y US Treasury 0.7%	Gold 14.9%	Commodities 12.9%	EM stocks 12.8%	EM stocks 25.4%	Gold 19.0%	Cash 5.9%	Commodities 16.0%	US IG bonds 14.8%
Gold 15.2%	DM stocks -3.3%	US dollar 12.1%	US dollar 12.3%	Cash 9.9%	Cash 7.7%	US stocks 18.6%	US stocks 5.2%	US IG bonds 13.4%	Cash 8.4%
Cash 12.1%	US stocks -5.1%	DM stocks 11.3%	Cash 9.0%	US stocks 6.2%	REITs 6.5%	EM stocks 11.1%	US IG bonds -0.6%	30Y US Treasury 8.7%	Commodities 4.6%
US dollar 5.3%	Commodities -5.3%	Cash 10.9%	US IG bonds 7.9%	DM stocks 5.8%	Gold 6.0%	Cash 6.1%	REITs -6.6%	US dollar 8.3%	REITs 2.7%
US IG bonds -3.3%	EM stocks -7.1%	Commodities -1.6%	30Y US Treasury -1.1%	Commodities -9.1%	Commodities 4.9%	Commodities -1.2%	30Y US Treasury -7.1%	Cash 6.9%	US dollar 0.7%
30Y US Treasury -5.0%	Gold -32.6%	EM stocks -28.0%	Gold -16.3%	Gold -19.4%	US dollar -18.5%	US dollar -16.1%	US dollar -17.6%	Gold -15.3%	Gold -2.8%

Source: BofA Global Investment Strategy, GFD Finean

BoFA GLOBAL RESEARCH

- The 1980s was a decade that started with the second oil shock and LatAm debt crisis, ended with the savings & loan crisis, and in between saw Black Monday, the fall of the Berlin Wall, Japanese real estate bubble; most critically, the 1980s started with a major secular peak in global inflation and interest rates.
- The 1980s was a strong decade for equity returns across both developed (19.9% annualized) and emerging markets (17.4%).
- Gold underperformed throughout the decade (worst performer in 5 out of 10 years).

Cross-asset returns – 1970s

Exhibit 37: Cross-asset total returns in the 1970s

The asset class quilt of total returns

1970	1971	1972	1973	1974	1975	1976	1977	1978	1979
EM stocks 14.3%	EM stocks 38.4%	Gold 48.8%	Gold 73.0%	Gold 66.1%	US stocks 37.3%	US stocks 23.7%	EM stocks 24.7%	Gold 37.0%	Gold 126.5%
30Y US Treasury 12.2%	DM stocks 19.6%	Commodities 37.0%	Commodities 58.4%	Commodities 9.8%	DM stocks 34.5%	30Y US Treasury 17.9%	Gold 22.6%	Commodities 22.3%	REITs 49.0%
US IG bonds 11.0%	Gold 16.7%	EM stocks 30.7%	EM stocks 13.5%	Cash 8.0%	EM stocks 12.3%	EM stocks 16.0%	US IG bonds 5.7%	EM stocks 19.6%	EM stocks 37.5%
Cash 6.5%	US stocks 14.3%	DM stocks 23.5%	Cash 7.3%	US IG bonds 0.7%	US IG bonds 10.9%	DM stocks 14.7%	Cash 5.5%	DM stocks 18.2%	Commodities 36.7%
Gold 6.2%	30Y US Treasury 12.7%	US stocks 18.9%	US IG bonds 3.2%	30Y US Treasury -3.0%	US dollar 6.4%	US IG bonds 14.2%	Commodities 3.2%	REITs 11.0%	US stocks 18.4%
Commodities 5.1%	US IG bonds 9.6%	30Y US Treasury 9.2%	US dollar -7.0%	US dollar -5.0%	Cash 5.9%	Commodities 12.6%	30Y US Treasury 2.6%	Cash 7.6%	DM stocks 12.7%
US stocks 4.0%	Commodities 5.3%	US IG bonds 8.3%	30Y US Treasury -12.7%	EM stocks -15.6%	30Y US Treasury 4.9%	Cash 5.1%	DM stocks 2.0%	US stocks 6.4%	Cash 10.6%
US dollar -0.9%	Cash 4.4%	Cash 4.2%	DM stocks -14.5%	DM stocks -24.5%	Commodities -0.8%	US dollar 1.0%	US stocks -7.4%	US IG bonds 2.2%	US IG bonds -0.5%
DM stocks -2.0%	US dollar -7.8%	US dollar -1.0%	US stocks -14.8%	US stocks -26.5%	Gold -24.8%	Gold -4.1%	US dollar -7.8%	30Y US Treasury -1.6%	US dollar -0.8%
								US dollar -10.3%	30Y US Treasury -2.1%

Source: BofA Global Investment Strategy, GFD Finaeon

- The 1970s was a decade of protracted inflation, monetary instability, large budget & trade deficits, wage and price controls, OPEC-induced spikes in oil prices, Watergate and the Soviet invasion of Afghanistan.
- Gold was the top performing asset class in the 1970s, with a 30.7% annualized return (gold was the #1 performer in 5 of the 10 years).

BoFA GLOBAL RESEARCH



Equity, bond, commodity and currency returns

Regional equity market performance since 2007

Exhibit 38: Korea is the best performing regional equity market in 2026

The quilt of equity returns

2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026*
India 72.6%	Japan -29.0%	India 102.8%	Korea 27.2%	US 2.0%	Germany 31.9%	US 32.6%	India 23.9%	Japan 9.9%	Canada 25.5%	China 54.5%	US -4.5%	Taiwan 37.7%	Korea 45.1%	US 27.0%	HK -4.7%	Italy 38.9%	Taiwan 34.7%	Korea 100.8%	Korea 496.3%
China 65.8%	Switzerland -29.8%	Taiwan 80.2%	HK 23.2%	UK -2.5%	HK 28.1%	Germany 32.4%	US 13.4%	Italy 3.0%	Taiwan 19.6%	Korea 48.0%	India -7.3%	Switzerland 33.6%	Taiwan 41.9%	Canada 26.9%	UK -4.8%	Taiwan 31.4%	US 24.9%	Italy 57.5%	Taiwan 199.5%
HK 40.9%	US -37.1%	Australia 76.8%	Taiwan 22.7%	Switzerland -6.1%	India 25.8%	France 27.7%	Taiwan 10.1%	US 1.3%	Australia 11.7%	India 38.9%	HK -7.8%	US 31.6%	China 29.6%	Taiwan 26.8%	Australia -5.1%	US 27.2%	China 19.5%	Taiwan 39.8%	Japan 43.3%
Germany 35.7%	France -42.6%	Korea 72.1%	Canada 21.2%	Australia -10.8%	China 23.0%	Switzerland 27.6%	China 8.3%	Switzerland 1.2%	US 11.6%	HK 36.3%	Taiwan -8.1%	Italy 28.7%	US 21.3%	India 26.7%	India -7.5%	Germany 24.0%	Italy 12.7%	Canada 37.4%	Australia 27.7%
Korea 32.4%	Canada -45.1%	China 62.6%	India 20.9%	Korea -11.8%	France 22.7%	Japan 27.3%	HK 5.1%	France 0.8%	Korea 9.2%	France 30.0%	Switzerland -8.2%	Canada 28.5%	India 15.8%	France 20.6%	Canada -12.2%	Korea 23.7%	Canada 12.6%	Germany 37.1%	US 27.3%
Canada 30.1%	Germany -45.4%	HK 60.2%	Japan 15.6%	Canada -12.2%	Australia 22.2%	Italy 21.3%	Canada 2.2%	HK -0.5%	France 6.0%	Italy 29.7%	Australia -11.8%	France 27.0%	Japan 14.9%	Switzerland 20.3%	France -12.7%	France 22.3%	India 12.3%	UK 35.1%	Italy 24.8%
Australia 29.6%	Taiwan -45.8%	Canada 57.4%	US 15.4%	Japan -14.2%	Korea 21.3%	UK 20.7%	Switzerland 0.7%	Germany -1.3%	Germany 3.5%	Taiwan 28.6%	France -11.8%	China 23.7%	Switzerland 12.7%	UK 18.5%	Italy -13.5%	India 21.4%	Germany 10.9%	HK 34.8%	HK 24.6%
France 13.9%	UK -48.2%	UK 43.4%	Australia 14.7%	France -16.0%	Switzerland 21.3%	HK 11.1%	Australia -3.2%	India -6.1%	Japan 2.7%	Germany 28.6%	Japan -12.5%	Australia 23.1%	Germany 12.3%	Italy 16.1%	Japan -16.3%	Japan 20.8%	Japan 8.5%	Switzerland 34.8%	Canada 24.3%
Taiwan 9.1%	Italy -49.1%	France 33.3%	Switzerland 12.9%	HK -16.1%	Taiwan 17.6%	Taiwan 9.8%	Japan -3.7%	Korea -6.3%	HK 2.3%	Japan 24.5%	UK -14.0%	Germany 21.7%	Australia 8.8%	Australia 9.6%	Switzerland -17.6%	Switzerland 16.9%	UK 7.5%	China 31.4%	UK 20.0%
UK 8.3%	Australia -49.9%	Italy 28.0%	Germany 9.3%	Germany -17.5%	US 16.0%	Canada 6.4%	UK -5.4%	UK -7.5%	China 1.1%	Switzerland 23.7%	Canada -16.5%	UK 21.1%	Canada 6.2%	Germany 5.9%	US -19.5%	Canada 16.5%	Australia 1.3%	France 29.5%	Switzerland 15.1%
Italy 7.2%	China -50.7%	US 27.1%	UK 8.8%	China -18.3%	UK 15.2%	Australia 4.3%	France -9.0%	China -7.6%	UK 0.0%	UK 22.4%	Italy -16.9%	Japan 20.1%	HK 5.8%	Japan 2.0%	Germany -21.7%	Australia 15.0%	HK 0.1%	Japan 25.1%	Germany 7.6%
Switzerland 6.0%	HK -51.1%	Switzerland 26.6%	China 4.8%	Taiwan -20.2%	Italy 13.4%	Korea 4.2%	Italy -9.0%	Australia -9.8%	India -1.4%	US 22.0%	China -18.7%	Korea 13.1%	France 4.7%	HK -3.9%	China -21.9%	UK 14.2%	Switzerland -1.0%	US 17.7%	France 4.3%
US 6.0%	Korea -55.0%	Germany 26.6%	France -3.2%	Italy -22.3%	Canada 9.8%	China 4.0%	Germany -9.8%	Taiwan -11.0%	Switzerland -4.0%	Australia 20.2%	Korea -20.4%	HK 10.3%	Italy 2.4%	Korea -7.9%	Korea -29.0%	China -11.1%	France -4.6%	Australia 14.8%	China -15.7%
Japan -4.1%	India -64.5%	Japan 6.4%	Italy -14.1%	India -37.2%	Japan 8.3%	India -3.8%	Korea -10.7%	Canada -23.6%	Italy -9.5%	Canada 17.0%	Germany -21.5%	India 7.6%	UK -10.4%	China -21.6%	Taiwan -29.2%	HK -14.8%	Korea -22.9%	India 4.3%	India -24.8%

Source: BofA Global Investment Strategy, Bloomberg *2026 YTD annualized, as of 5/26/26

BofA GLOBAL RESEARCH

Next, we show the historical returns of global equities, bonds, commodities, and currencies.

- Over the past 20 years, the top performing regional equity markets have been Taiwan (14.3% annualized return), US (11.4%), and South Korea (10.3%). South Korea equities are the top performing region YTD (496.3% annualized gain), followed by Taiwan (199.5%). India is the worst-performing equity market YTD (-24.8%).

Fixed income returns since 2007

Exhibit 39: US 3-month T-bill is the top-performing bond in 2026

The quilt of debt returns since 2007

2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026*
TIPS 11.6%	30-year Treasury 41.2%	US Corp HY 57.5%	US Corp HY 16.2%	30-year Treasury 35.5%	EM Sovereign 17.6%	US Corp HY 7.4%	30-year Treasury 29.4%	Japan Govt 1.2%	US Corp HY 17.5%	EM Sovereign 11.5%	German Govt 2.4%	30-year Treasury 16.3%	30-year Treasury 18.6%	TIPS 6.0%	3m T-Bills 1.5%	US Corp HY 13.5%	US Corp HY 8.2%	EM Sovereign 14.0%	3m T-Bills 3.5%
30-year Treasury 10.4%	UK Govt 13.0%	EM Sovereign 25.5%	US Corp IG 9.5%	UK Govt 16.9%	US Corp HY 15.6%	Japan Govt 2.1%	UK Govt 14.7%	UK Govt 0.5%	UK Govt 10.6%	30-year Treasury 9.0%	3m T-Bills 1.9%	US Corp HY 14.4%	TIPS 11.5%	US Corp HY 5.4%	2-year Treasury -4.2%	EM Sovereign 10.9%	3m T-Bills 5.2%	US Corp HY 8.5%	US Corp HY 3.5%
EM Sovereign 7.8%	German Govt 12.2%	US Corp IG 19.8%	EM Sovereign 9.2%	TIPS 14.1%	US Corp IG 10.4%	2-year Treasury 0.3%	German Govt 10.4%	2-year Treasury 0.5%	EM Sovereign 7.6%	US Corp HY 7.5%	2-year Treasury 1.5%	US Corp IG 14.2%	US Corp IG 9.8%	3m T-Bills 0.0%	Japan Govt -5.4%	US Corp IG 8.4%	EM Sovereign 4.4%	US Corp IG 7.8%	TIPS 3.3%
2-year Treasury 7.5%	2-year Treasury 7.4%	TIPS 10.0%	30-year Treasury 8.7%	German Govt 9.7%	TIPS 7.3%	3m T-Bills 0.1%	US Corp IG 7.5%	German Govt 0.3%	US Corp IG 6.0%	US Corp IG 6.5%	2-year Treasury 1.0%	EM Sovereign 12.7%	UK Govt 8.6%	Japan Govt -0.2%	US Corp HY -11.2%	German Govt 5.1%	2-year Treasury 3.7%	TIPS 6.8%	EM Sovereign 1.2%
UK Govt 5.2%	Japan Govt 3.7%	German Govt 2.0%	UK Govt 7.6%	US Corp IG 7.5%	German Govt 4.5%	US Corp IG -1.5%	EM Sovereign 5.2%	3m T-Bills 0.1%	TIPS 4.8%	TIPS 3.3%	UK Govt 0.5%	TIPS 8.8%	EM Sovereign 6.9%	2-year Treasury -0.5%	TIPS -12.6%	3m T-Bills 5.0%	US Corp IG 2.8%	UK Govt 5.0%	US Corp IG 1.0%
3m T-Bills 5.0%	3m T-Bills 2.1%	2-year Treasury 1.1%	TIPS 6.3%	EM Sovereign 5.8%	UK Govt 2.8%	German Govt -2.3%	TIPS 4.5%	US Corp IG -0.6%	German Govt 4.1%	UK Govt 1.9%	TIPS -1.5%	UK Govt 7.3%	US Corp HY 6.2%	US Corp IG -1.0%	US Corp IG -15.4%	UK Govt 3.7%	TIPS 2.0%	2-year Treasury 4.9%	2-year Treasury 0.9%
US Corp IG 4.7%	TIPS -1.1%	Japan Govt 0.8%	German Govt 6.2%	US Corp HY 4.4%	30-year Treasury 2.5%	EM Sovereign -3.3%	Japan Govt 4.5%	EM Sovereign -1.0%	Japan Govt 3.3%	3m T-Bills 0.9%	US Corp IG -2.2%	2-year Treasury 3.5%	2-year Treasury 3.0%	German Govt -2.6%	German Govt -17.6%	TIPS 3.6%	German Govt 0.5%	3m T-Bills 4.2%	German Govt 0.6%
Japan Govt 2.7%	US Corp IG -6.8%	3m T-Bills 0.2%	Japan Govt 2.4%	Japan Govt 2.2%	Japan Govt 1.8%	UK Govt -4.3%	US Corp HY 2.5%	TIPS -1.7%	30-year Treasury 0.9%	2-year Treasury 0.2%	US Corp HY -2.3%	German Govt 3.1%	German Govt 3.0%	EM Sovereign -3.6%	EM Sovereign -18.8%	2-year Treasury 3.5%	Japan Govt -3.2%	30-year Treasury 3.3%	30-year Treasury -2.1%
US Corp HY 2.2%	EM Sovereign -9.6%	UK Govt -1.3%	2-year Treasury 2.3%	2-year Treasury 1.5%	2-year Treasury 0.3%	TIPS -9.4%	2-year Treasury 0.7%	30-year Treasury -3.2%	2-year Treasury 0.7%	Japan Govt 0.1%	30-year Treasury -2.7%	3m T-Bills 2.3%	3m T-Bills 0.7%	30-year Treasury -4.7%	UK Govt -25.1%	30-year Treasury 1.2%	UK Govt -4.1%	German Govt -1.5%	UK Govt -2.8%
German Govt 2.1%	US Corp HY -26.4%	30-year Treasury -26.0%	3m T-Bills 0.1%	3m T-Bills 0.1%	3m T-Bills 0.1%	30-year Treasury -15.1%	3m T-Bills 0.0%	US Corp HY -4.6%	3m T-Bills 0.3%	German Govt -1.4%	EM Sovereign -4.4%	Japan Govt 1.7%	Japan Govt -0.8%	UK Govt -5.3%	30-year Treasury -33.4%	Japan Govt 0.4%	30-year Treasury -8.0%	Japan Govt -6.3%	Japan Govt -7.9%

Source: BofA Global Investment Strategy, Bloomberg *2026 YTD annualized as of 5/26/26

BoFA GLOBAL RESEARCH

- This quilt looks at annual returns from global fixed income assets in the past 20 years; since 2007, the broad index of global fixed income (GFIW) has seen a 2.3% total return per annum.
- In 2026, US 3-month T-bills have been the top performer (3.5% annualized) followed by US HY bonds (3.5%); the worst performers...Japan government debt (-7.9%) and UK government debt (-2.8%).
- The US 30-year Treasury lost 54% of its value peak-to-trough in 4 years; in the preceding 15 years it averaged an 8.5% annualized return.





Government bond yields & returns

Exhibit 40: Global sovereign bond markets have seen mixed returns YTD, after positive returns in 2025
Sovereign bond market total returns (%)

BofA Index	Global Fixed Income Markets	Ticker	Yield	Duration	Spread vs 10Y UST (bps)	YTD		2025		2020s	
						return		return		return (ann.)	return (ann.)
Global Fixed Income Markets	Government	WGFI	4.2	6.1	-31	-0.3%		8.2%		-0.5%	
	Quasi-government	GOLQ	3.7	6.7	-77	-1.0%		6.4%		-2.1%	
	EM Sovereign	EMGB	3.9	6.1	-62	0.5%		11.1%		0.0%	
	EMGB	EMGB	5.8	6.6	131	0.5%		14.0%		1.6%	
Treasury Master	3-Month Treasury Bills	6000	4.3	5.9	-15	-0.2%		6.2%		0.3%	
	2-year Treasury	GA01	3.7	0.2	-81	1.4%		4.2%		2.8%	
	10-year Treasury	GA02	4.0	1.8	-44	0.3%		4.9%		1.6%	
	30-year Treasury	GA10	4.5	7.9	1	-0.8%		7.8%		-0.6%	
	Agency Master	GA30	5.0	15.5	55	-0.8%		3.3%		-5.0%	
	Agency Master	UAGY	4.2	3.3	-33	0.4%		6.1%		1.6%	
	TIPS	60QI	1.8	4.3	-273	1.3%		6.8%		2.6%	
Sovereign Bond Indices	Germany	G0D0	2.8	7.0	-166	-0.8%		11.7%		-1.8%	
	France	G0F0	3.3	7.0	-123	-0.2%		13.7%		-1.7%	
	Spain	G0E0	3.1	6.7	-139	-0.5%		15.4%		-0.4%	
	Italy	G0I0	3.3	6.3	-116	-1.0%		17.1%		1.0%	
	United Kingdom	G0L0	4.8	8.1	32	-1.1%		12.8%		-3.3%	
	Japan	G0Y0	2.4	8.2	-213	-4.8%		-6.0%		-8.6%	
	Sovereign Emerging Markets (Duration)										
	Brazil	G0BR	13.4	3.0	895	13.3%		34.9%		4.0%	
	India	G0IN	7.2	6.9	268	-6.0%		1.2%		1.7%	
	China	G0CN	1.5	6.7	-296	4.5%		4.6%		4.7%	
Sovereign Emerging Markets (Duration)	Mexico	G0MX	8.9	5.0	444	6.6%		35.2%		8.0%	
	Turkiye	G0TR	36.9	1.6	3244	-4.1%		10.9%		-19.3%	
	South Africa	G0SA	8.7	6.5	420	3.4%		40.5%		8.6%	
	Indonesia	G0ID	6.8	6.2	233	-7.3%		8.3%		3.3%	
	Emerging Markets External Debt	EMGB	5.8	6.6	131	0.5%		14.0%		1.6%	

Source: BofA Global Investment Strategy, ICE BofA Global Bond Indices; data as of 5/26/26

BofA GLOBAL RESEARCH

- The yield on the Global Fixed Income master index is currently 4.2%, the index has a duration of 6 years and is currently down 0.3% in 2026.
- The best-performing sovereign bond market YTD is Brazil (13.3%), followed by Mexico (6.6%) and China (4.5%). The worst-performing markets...Indonesia (-7.3%), then Japan (-4.8%).

Corporate bond yields & spreads

Exhibit 4.1: Corporate bond markets globally have seen mixed returns in 2026
Corporate bond market spreads (bp)

BoFA Index		Ticker	Yield (%)	Duration	Spread (bps)	YTD return	2025 return	2020s return (ann.)
Global Corporate Bond Markets								
Investment Grade (Global)		GOLC	4.6	5.8	74	0.2%	10.4%	1.4%
Investment Grade (United States)		COA0	5.1	6.5	74	0.4%	7.8%	1.6%
Investment Grade (Euro Area; USD terms)		ER00	3.5	4.5	77	0.6%	3.0%	0.4%
Investment Grade EM		EMHG	5.1	5.5	79	0.0%	8.6%	1.5%
High Yield (Global)		HW00	6.7	3.1	283	1.4%	10.8%	4.2%
High Yield (United States)		HOA0	6.9	3.0	272	1.4%	8.5%	4.7%
High Yield (Euro Area; USD terms)		HE00	5.4	2.9	273	0.9%	5.1%	3.1%
High Yield EM		EMHY	7.5	3.8	324	3.2%	9.1%	4.3%
High Yield (China)		ACYC	11.7	2.5	760	6.2%	-0.5%	-10.6%
EM Sovereign		EMGB	5.8	6.6	167	0.5%	14.0%	1.6%
Corporate Investment Grade Master								
AAA-rated		COA1	5.0	10.4	33	-0.3%	6.3%	-0.1%
AA-rated		COA2	4.9	7.3	46	0.1%	6.6%	0.7%
A-rated		COA3	5.0	6.4	61	0.3%	7.7%	1.4%
BBB-rated		COA4	5.3	6.3	93	0.6%	8.1%	2.0%
High Yield Master II		HOA0	6.9	3.0		1.4%	8.5%	4.7%
BB-rated		HOA1	5.8	3.2	160	1.4%	8.9%	4.5%
B-rated		HOA2	7.1	2.7	298	1.8%	8.4%	4.4%
CCC and lower rated		HOA3	13.5	2.5	935	0.0%	6.5%	5.8%
US High Yield Energy		HOEN	5.7	2.8	154	4.4%	7.2%	5.0%
European High Yield		HE00	5.4	2.9	273	0.9%	5.1%	3.1%
Sterling High Yield		HL00	8.6	2.9	476	1.4%	8.7%	5.0%
EM Corporate Liquid Index		EMCL	5.9	5.0		0.9%	8.7%	2.4%
Latin America		EMLL	6.8	5.5	242	1.7%	9.2%	3.6%
EMEA		EMEL	5.8	5.0	156	0.3%	9.2%	1.1%
Municipal Master		UOA0	3.6	7.1	21	0.7%	3.9%	1.6%

Source: BoFA Global Investment Strategy, ICE BoFA Global Bond Indices, data as of 5/26/26

BoFA GLOBAL RESEARCH

- Corporate bond markets had largely positive returns in 2025, but returns have been more mixed thus far in 2026.
- YTD performance has been led by China HY bonds (6.2%), then US HY energy (4.4%).
- Bond indices currently yielding 8% or more...CCC & lower corporate (13.5%), HY China (11.7%), and sterling HY (8.6%).



Currency & Commodity returns

Exhibit 42: Russian ruble is the best-performing major global currency YTD vs the US dollar

Ranked returns, global currency cross-pairs (% chg)

vs. US dollar	YTD		1yr		2yr		from Jan 1, 2020
1 Russian ruble	10.9%	1 Russian ruble	13.2%	1 Russian ruble	25.3%	1 Swiss franc	22.9%
2 Brazilian real	8.8%	2 Brazilian real	12.1%	2 Swiss franc	16.1%	2 Danish krone	3.7%
3 Norwegian krone	8.7%	3 Australian dollar	10.8%	3 Swedish krona	14.2%	3 Euro	3.7%
4 Australian dollar	7.0%	4 Norwegian krone	9.5%	4 Norwegian krone	13.1%	4 Chinese renminbi	2.6%
5 Chinese renminbi	3.0%	5 Chinese renminbi	6.0%	5 Australian dollar	7.3%	5 Australian dollar	1.8%
6 NZ dollar	2.5%	6 Swiss franc	5.1%	6 Euro	7.1%	6 British pound	1.3%
7 Swiss franc	0.7%	7 Swedish krona	3.5%	7 Danish krone	6.9%	7 Swedish krona	0.8%
8 British pound	-0.4%	8 Euro	2.6%	8 Chinese renminbi	6.8%	8 Norwegian krone	-5.4%
9 Canadian dollar	-0.8%	9 Danish krone	2.4%	9 British pound	5.1%	9 Canadian dollar	-6.2%
10 Swedish krona	-0.9%	10 Canadian dollar	-0.2%	10 Brazilian real	2.7%	10 Russian ruble	-12.0%
11 Euro	-1.0%	11 British pound	-0.6%	11 Canadian dollar	-1.5%	11 NZ dollar	-12.2%
12 Danish krone	-1.1%	12 NZ dollar	-0.8%	12 Japanese yen	-1.7%	12 Brazilian real	-19.9%
13 Japanese yen	-1.8%	13 Japanese yen	-9.5%	13 NZ dollar	-4.0%	13 Indian rupee	-25.6%
14 Indian rupee	-6.1%	14 Indian rupee	-10.8%	14 Indian rupee	-13.1%	14 Japanese yen	-31.8%

Source: BofA Global Investment Strategy, Bloomberg, data as of 5/26/26

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Exhibit 43: Oil has been the best-performing commodity YTD

Ranked returns, global commodity contracts (% chg)

	YTD		1yr		2yr		from Jan 1, 2020
1 Brent Crude Oil	63.6%	1 Silver	126.0%	1 Silver	146.9%	1 Silver	317.9%
2 WTI Crude Oil	54.4%	2 Platinum	78.6%	2 Gold	90.6%	2 Gold	192.1%
3 Wheat	25.3%	3 Brent Crude Oil	55.4%	3 Platinum	85.6%	3 Coffee	124.7%
4 Aluminum	24.0%	4 Aluminum	48.7%	4 Palladium	44.0%	4 Copper	121.7%
5 Cotton	20.4%	5 WTI Crude Oil	45.6%	5 Aluminum	40.3%	5 Aluminum	106.4%
6 Soy Beans	15.1%	6 Palladium	42.7%	6 Copper	33.3%	6 Platinum	98.5%
7 Zinc	14.6%	7 Copper	41.4%	7 Coffee	25.1%	7 Cocoa	64.1%
8 Nickel	13.5%	8 Gold	34.8%	8 Natural Gas	22.8%	8 Zinc	55.4%
9 Copper	9.5%	9 Zinc	31.3%	9 Brent Crude Oil	19.8%	9 Brent Crude Oil	50.9%
10 Silver	6.1%	10 Nickel	23.0%	10 Zinc	17.3%	10 WTI Crude Oil	45.2%
11 Corn	3.9%	11 Wheat	20.2%	11 WTI Crude Oil	14.1%	11 Natural Gas	41.4%
12 Gold	2.5%	12 Cotton	18.0%	12 Corn	-1.6%	12 Nickel	34.4%
13 Sugar	2.2%	13 Soy Beans	11.6%	13 Cotton	-3.9%	13 Soy Beans	25.8%
14 Iron Ore	2.0%	14 Iron Ore	9.8%	14 Soy Beans	-5.0%	14 Sugar	21.6%
15 Lead	1.6%	15 Lead	1.8%	15 Nickel	-6.5%	15 Iron Ore	19.4%
16 Platinum	-5.2%	16 Corn	-0.4%	16 Iron Ore	-7.1%	16 Corn	18.0%
17 Palladium	-15.4%	17 Natural Gas	-8.9%	17 Wheat	-8.9%	17 Wheat	13.7%
18 Natural Gas	-16.0%	18 Sugar	-9.5%	18 Lead	-11.1%	18 Cotton	12.0%
19 Coffee	-19.6%	19 Coffee	-24.7%	19 Sugar	-20.0%	19 Lead	5.0%
20 Cocoa	-31.3%	20 Cocoa	-57.2%	20 Cocoa	-49.7%	20 Palladium	-26.8%

Source: BofA Global Investment Strategy, Bloomberg, data as of 5/26/26

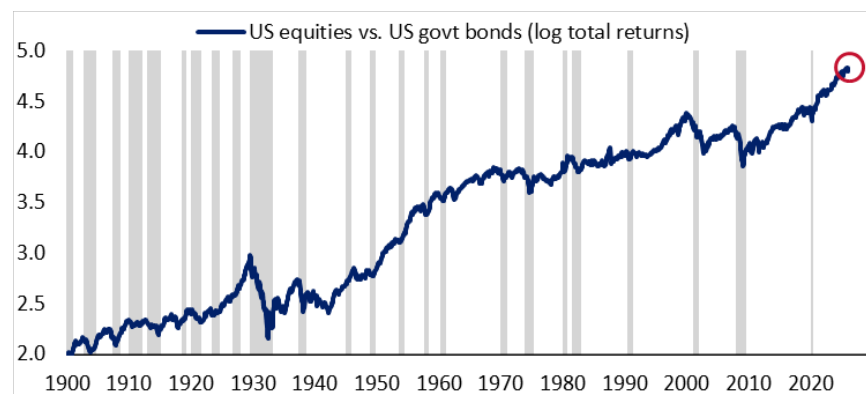
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- Looking at currency ranked returns...since 2020, the top-performing currencies vs the US dollar have been the Swiss franc (22.9%) and Euro (3.7%); the worst performers have been the Japanese yen (-31.8%) and Indian rupee (-25.6%).
- In 2026 the best-performing currency vs the US dollar has been the Russian ruble (5.8%); the worst performer has been the Indian rupee (-1.6%).
- Commodities have been in a secular bull market in the 2020s, which has continued into 2026.
- The best performing commodity YTD has been oil (63.6%).



Exhibit 44: US stocks at all-time highs relative to US government bonds

US equities vs. US government bonds

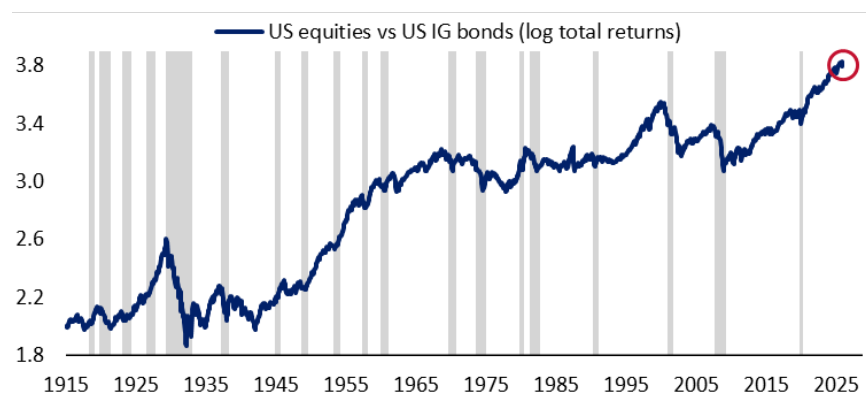


Source: BofA Global Investment Strategy, Global Financial Data. Note: gray lines show US recessions
BofA GLOBAL RESEARCH

- The next six charts show the relative returns of stocks, bonds, and commodities.
- This chart shows the performance of US equities relative to US government bonds since 1900.
- US stock returns are at all-time highs relative to US government bond returns.

Exhibit 45: US equities at all-time highs relative to US IG bonds

US equities vs. US IG corporate bonds

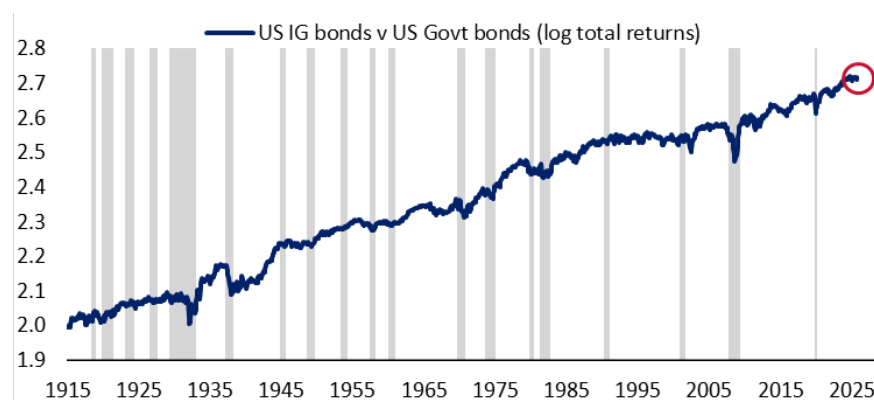


Source: BofA Global Investment Strategy, Global Financial Data. Note: gray lines show US recessions
BofA GLOBAL RESEARCH

- This chart shows the performance of US equities relative to US investment grade corporate bonds since 1915.
- Stocks have reached all-time highs relative to corporate bonds.

Exhibit 46: US IG bonds hit an all-time high relative to US government bonds in Dec'24

US corporate bonds vs. US government bonds



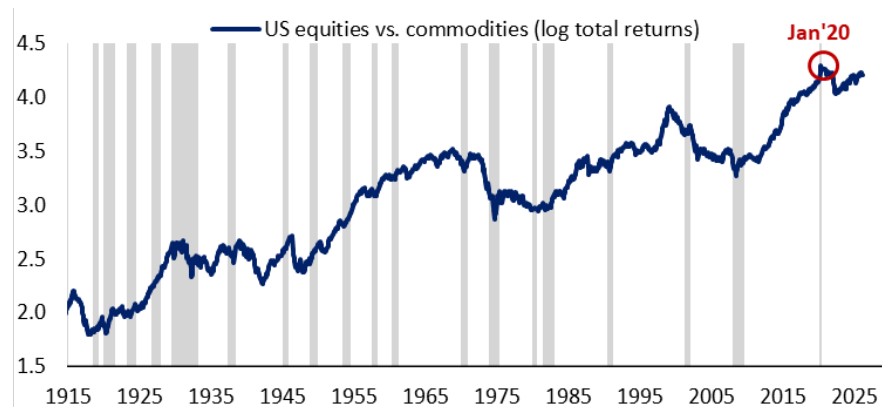
Source: BofA Global Investment Strategy, Global Financial Data. Note: gray lines show US recessions
BofA GLOBAL RESEARCH

- This chart shows the performance of US corporate bonds relative to US government bonds since 1915.
- US corporate bond returns are near the all-time high vs. US government bond returns, reached in December 2024.



Exhibit 47: Commodities have outperformed US stocks decade-to-date

US equities vs. commodities

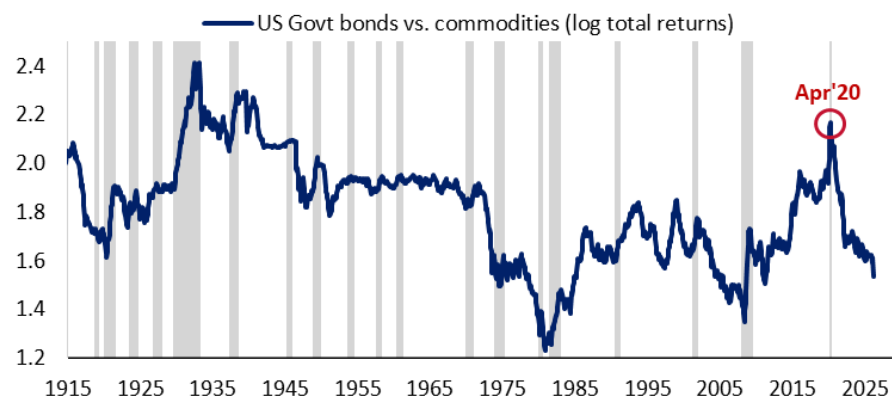


Source: BofA Global Investment Strategy, Global Financial Data. Note: gray lines show US recessions
BofA GLOBAL RESEARCH

- This chart shows the performance of US equities relative to commodities since 1915.
- US equity returns relative to commodities peaked in January 2020, but then fell to a low in March 2022. Since then, they have risen to the highest level since Dec 2021.
- Note prior peaks coincided with major events: 1930 (Great Depression), 1969 (Vietnam War/civil unrest), and 1999 (Dot-com bubble).

Exhibit 48: US government bonds rose in 2020 to 80-year high relative to commodities

US government bonds vs. commodities

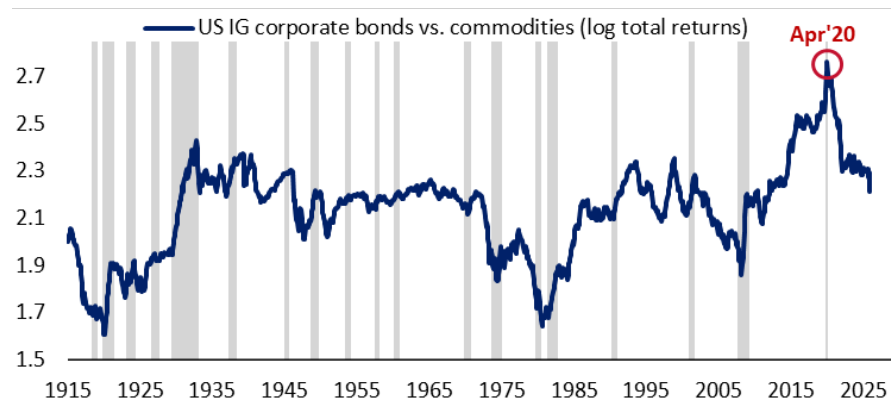


Source: BofA Global Investment Strategy, Global Financial Data. Note: gray lines show US recessions
BofA GLOBAL RESEARCH

- This chart shows the performance of US government bonds relative to commodities since 1915.
- US government bonds are at their lowest level vs. commodities since April 2011.
- In April 2020, US government bonds rose to their highest vs. commodities since 1941.

Exhibit 49: US IG bonds down from all-time high relative to commodities

US IG corporate bonds vs. commodities



Source: BofA Global Investment Strategy, Global Financial Data. Note: gray lines show US recessions
BofA GLOBAL RESEARCH

- This chart shows the performance of US corporate bonds relative to commodities in the past 100 years.
- US corporate bonds hit an all-time high vs. commodities in April 2020.
- In 2026, US corporate bond returns have dropped to the lowest relative to commodities since 2012.

Flows, risks, crowds & valuations

Asset class flows as a % of AUM since 2008

Exhibit 50: Energy & commodities have been the most popular asset class (inflows % of AUM) in recent years
The asset class quilt of global flows (as % of AUM)

2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026*
Financials 92.7%	Commodities 162.0%	EM debt 54.6%	EM debt 7.1%	Financials 33.4%	Japan equities 52.0%	Energy 19.6%	Japan equities 25.8%	Gold 24.1%	Tech 23.2%	Japan equities 14.1%	Cash 14.1%	Commodities 33.2%	Energy 31.7%	Treasuries 23.2%	Treasuries 23.0%	Cash 12.8%	Commodities 29.2%	Energy 53.7%
Commodities 41.6%	Gold 59.4%	Treasuries 23.0%	Treasuries 6.9%	EM debt 31.7%	Energy 17.5%	IG bonds 15.5%	Europe equities 13.5%	Commodities 23.1%	Financials 23.0%	Tech 21.7%	Treasuries 14.0%	Tech 27.0%	Financials 27.3%	EM equities 4.1%	Cash 19.2%	Commodities 12.3%	Gold 19.1%	Treasuries 12.4%
Gold 31.5%	HY bonds 37.9%	IG bonds 17.3%	IG bonds 6.3%	HY bonds 24.4%	Tech 10.4%	Financials 11.3%	Commodities 7.6%	Financials 10.9%	EM debt 21.7%	Tech 10.4%	Commodities 10.8%	Energy 23.2%	Tech 13.3%	Tech 3.6%	Tech 11.8%	Treasuries 10.4%	EM debt 17.4%	IG bonds 8.8%
Cash 30.6%	IG bonds 27.9%	Commodities 16.6%	Gold 5.9%	Japan equities 19.4%	Financials 8.6%	Japan equities 7.1%	Financials 6.8%	EM debt 9.6%	IG bonds 12.0%	EM equities 4.7%	IG bonds 10.7%	Gold 20.2%	EM equities 7.0%	US equities 1.7%	EM equities 6.8%	IG bonds 9.8%	Cash 12.2%	Commodities 8.5%
Real estate 4.7%	EM equities 27.5%	EM equities 16.4%	Japan equities 4.8%	IG bonds 14.0%	Europe equities 8.1%	Real estate 5.6%	Energy 6.4%	Energy 8.1%	Japan equities 12.0%	Cash 3.3%	Gold 9.9%	Cash 19.0%	IG bonds 6.5%	Energy 1.4%	IG bonds 4.6%	EM equities 9.6%	Treasuries 11.6%	Tech 6.7%
Energy 4.1%	Tech 24.2%	Gold 15.1%	HY bonds 4.2%	EM equities 9.5%	HY bonds 7.0%	IG bonds 4.8%	Cash 4.3%	IG bonds 4.2%	EM equities 7.9%	Gold 2.4%	EM debt 9.0%	Financials 10.3%	Treasuries 6.5%	Cash 0.2%	US equities 1.3%	HY bonds 8.7%	Financials 10.2%	Cash 6.3%
US equities 0.9%	Energy 21.8%	HY bonds 14.4%	Commodities 3.5%	Commodities 8.6%	Real estate 5.5%	Tech 4.3%	Cash 2.1%	Real estate 3.3%	Gold 7.7%	IG bonds 0.0%	HY bonds 8.4%	HY bonds 9.8%	US equities 5.4%	Real estate 0.0%	Japan equities 1.2%	Tech 8.4%	IG bonds 9.7%	Japan equities 5.5%
HY bonds -5.2%	EM debt 18.2%	Energy 11.3%	Energy 2.6%	Gold 8.4%	US equities 4.8%	US equities 2.0%	Tech 1.7%	Japan equities 3.1%	Commodities 6.1%	Commodities -0.2%	Tech 5.2%	IG bonds 8.0%	Cash 5.0%	Japan equities -0.4%	HY bonds -0.5%	US equities 5.3%	Tech 8.9%	Gold 4.2%
EM equities -7.0%	Treasuries 11.6%	Tech 6.7%	Real estate 1.7%	Real estate 7.5%	IG bonds 2.1%	Europe equities 1.3%	Real estate 1.4%	HY bonds 2.4%	Cash 3.8%	US equities -1.0%	Real estate 2.9%	Japan equities 5.9%	EM debt 4.9%	Gold -1.7%	Real estate -1.9%	Financials 5.0%	EM equities 6.4%	EM debt 3.7%
Treasuries -9.9%	Real estate 9.3%	Real estate 4.6%	Tech 1.3%	Cash 0.0%	Cash -1.8%	Cash 1.1%	Treasuries 1.3%	EM equities -0.3%	EM equities 3.4%	EM debt -2.6%	Japan equities 1.0%	Treasuries 2.8%	Real estate 4.4%	IG bonds -3.8%	Financials -4.0%	Gold 1.7%	HY bonds 5.7%	US equities 2.8%
Tech -11.0%	Europe equities 1.3%	Financials 4.5%	US equities 0.0%	US equities -1.3%	EM debt -2.6%	EM debt -1.0%	HY bonds -1.2%	US equities -0.8%	Energy 2.7%	Real estate -4.2%	US equities -1.1%	EM debt 1.3%	Japan equities 3.7%	Commodities -4.7%	Gold -4.9%	Japan equities 0.4%	Europe equities 4.0%	Europe equities 0.3%
Europe equities -12.0%	US equities -3.6%	US equities -0.2%	Europe equities -2.0%	Energy -1.3%	Commodities -1.7%	Gold -3.5%	Cash -0.8%	Tech -3.7%	Treasuries 1.0%	Energy -4.7%	EM equities -1.2%	US equities 0.4%	Europe equities 0.2%	Europe equities -6.1%	Europe equities -5.0%	Real estate -1.6%	US equities 3.1%	HY bonds -2.0%
IG bonds -12.9%	Financials -7.7%	Japan equities -2.7%	Cash -4.1%	Europe equities -3.1%	EM equities -2.8%	US equities -3.6%	US equities -3.7%	Real estate -3.2%	US equities 0.1%	Financials -5.5%	Financials -6.2%	Real estate 0.0%	Commodities -0.5%	Financials -10.2%	Commodities -5.2%	Europe equities -4.6%	Japan equities -0.7%	Real estate -2.6%
Japan equities -17.8%	Cash -16.9%	Europe equities -3.4%	EM equities -4.8%	Treasuries -4.2%	Gold -18.6%	HY bonds -3.2%	EM equities -8.2%	Treasuries -4.3%	Real estate -3.2%	Financials -10.0%	Europe equities -8.3%	EM equities -0.3%	HY bonds -0.9%	HY bonds -10.9%	EM debt -7.8%	EM debt -5.1%	Real estate -3.0%	Financials -4.6%
EM debt -21.3%	Japan equities -19.3%	Cash -15.1%	Financials -9.5%	Tech -6.9%	Commodities -21.1%	Gold -3.7%	EM debt -11.0%	Europe equities -9.0%	HY bonds -3.4%	HY bonds -14.6%	Energy -12.4%	Europe equities -3.2%	Gold -3.8%	EM debt -13.1%	Energy -9.1%	Energy -12.9%	Energy -5.2%	EM equities -5.6%

Source: BofA Global Investment Strategy, EPRF, *2026 YTD annualized, as of May/26

BoFA GLOBAL RESEARCH

- This quilt shows inflows & redemptions as a % of AUM by major asset classes since 2008.
- The flow winners YTD have been energy stocks (53.7% of AUM, annualized), Treasuries (12.4%), IG bonds (8.8%), and commodities (8.5%); flow losers YTD have been EM stocks (-5.6%) and financials (-4.6%).
- Last year, commodities and gold were the top asset classes for inflows as a % of AUM. Since 2022, Treasuries have also seen big inflows every year as a % of AUM, driven by demand for T-bills; Cash (money market funds) have also seen big inflows in recent years, albeit slowing in 2026.





The top 10 ETFs by market cap since 2007

Exhibit 51: VOO has been the largest ETF in the world since 2025
The quilt of ETFs (market cap, \$bn)

	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026 YTD
SPY	96.3	95	85.5	90.1	94.4	126.5	176.5	214.6	181.4	225.6	271.7	240.1	311.8	332.1	461	354.6	493.7	626.7	833.4	980.7
EFA	51.6	32.9	39.9	58.5	63	72.6	53.7	70.8	70.2	90.8	141.6	149.5	201.2	238.7	337.3	289.5	399.8	586.3	761.4	835.8
EEM	28.6	22.1	39.3	47.6	41.9	60.1	53.1	52.9	59.7	69.6	92	94.6	137.9	201.9	298.9	262.2	372.6	583.9	711.9	775.4
QQQ	22.1	19.5	35.1	44.6	36.6	49	46.9	50.9	57.4	59.4	84.6	90.6	130.5	178.001	279.9	260.8	347.7	456.6	570.6	654.3
IVV	17.9	15.6	21.8	36.9	32.6	39.4	45.4	45.9	42.4	56.6	83.8	65	87.2	151.9	215.5	145.4	230.2	318.9	407.8	484.8
GLD	16.8	12.4	19.5	25.8	26.2	35.1	40.6	40.5	40.4	43.9	68.5	62.1	78.9	87.3	109.9	100.2	122.7	133.4	193.4	229.6
IWF	15.5	10.9	18.5	21.7	25.3	31.2	39.2	32.2	34.3	41.6	66.7	59.8	74	85.3	104.1	88.8	106.8	121	162.9	186.3
IMM	11.2	10.7	18.5	19.4	22.2	25.3	30.9	30.1	31.6	41	56.5	57.2	69.3	83.7	92.1	84.8	104.7	119.8	148.3	162
IMD	10.5	9.7	13.4	18.2	19.5	24.3	28.3	27.7	30.6	40.2	53	55.1	67.2	71.6	84.2	82.5	101.4	117.8	146.2	156.7
EWJ	10.3	9.3	13	17.5	17.2	22.2	22.7	27.5	29.3	38.8	44.2	52.3	64.5	71.5	81.3	68.1	81.9	106.5	135.7	148

Source: BofA Global Investment Strategy; Bloomberg; SPY: S&P 500; VOO: S&P 500; IVV: Core S&P 500; VTI: Total US Stock Market; DIA: Dow Jones Industrial Average; QQQ: Nasdaq 100; VEA: FTSE Developed Markets; IEFA: Core MSCI EAFE; EFA: MSCI EAFE; IEM: MSCI Emerging Markets; VWO: FTSE Emerging Markets; IMD: Russell 1000 Value; IMM: Russell 2000; MDY: S&P Midcap 400; IJH: Core S&P Midcap; EWJ: MSCI Japan; DIVY: Select Dividend; AGG: US Aggregate Bond; BND: Total Bond Market; GLD: Gold

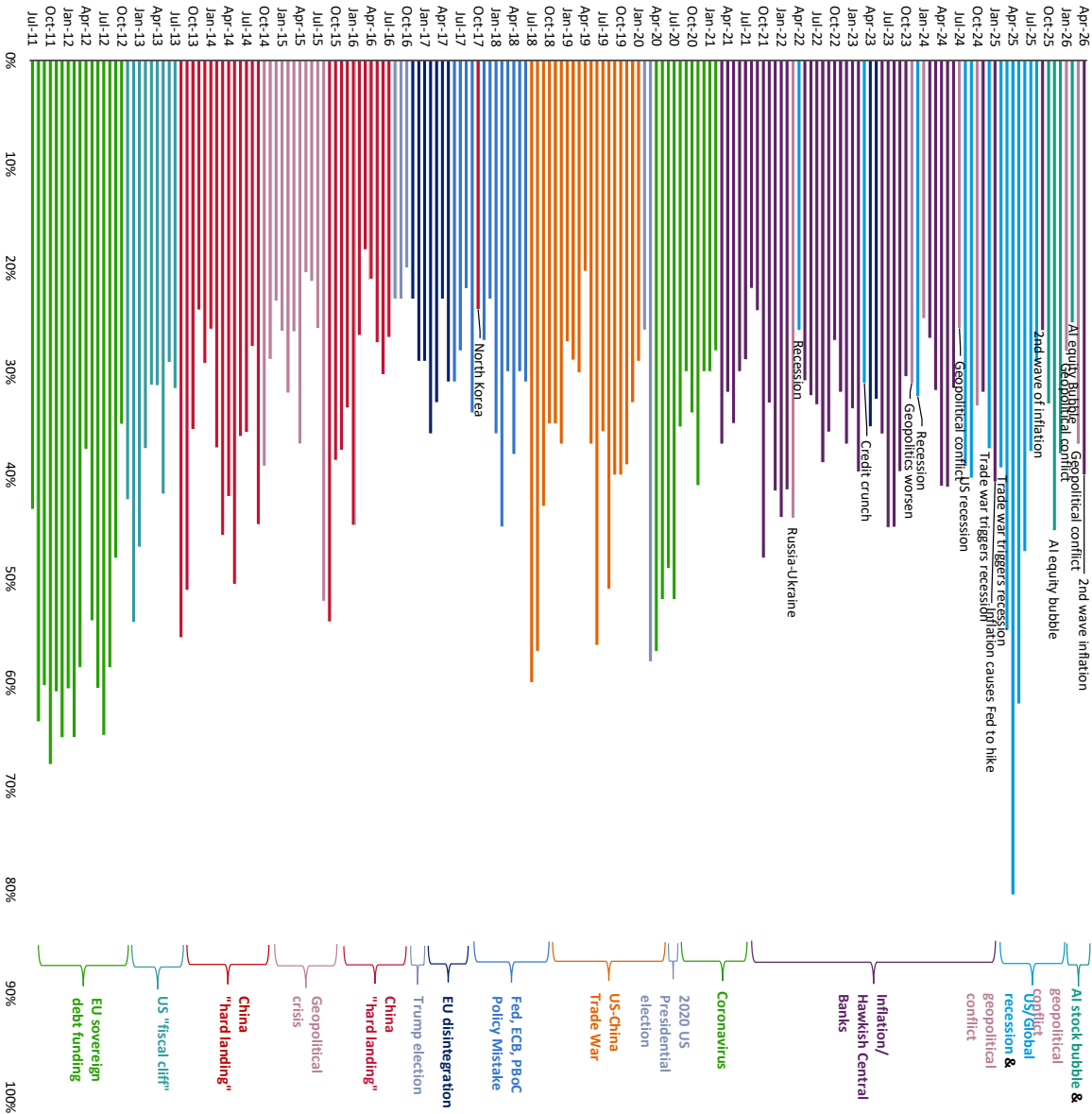
BofA GLOBAL RESEARCH

- This quilt shows the market capitalization of the top ten ETFs listed in the US since 2007.
- The six biggest ETFs have remained largely the same since 2019; they are: SPY (S&P 500), IVV (S&P 500), VOO (S&P 500), VTI (US total market), QQQ (Nasdaq 100), and VEA (developed markets ex-US).
- In 2026, ETFs of US large cap stocks are the top three ETF positions (VOO, IVV, SPY); in 2026, the EM ETF IEMG has reappeared as the 10th largest ETF in the world.
- Gold had not been in the top 10 for four consecutive years (2021-2024), but has been back in the top 10 since 2025, after strong performance.

A chronology of tail risks

Exhibit 5.2: Evolution of BofA Global FMS “biggest tail risk”

BofA Global Fund Manager Survey: history of #1 “biggest tail risk” according to investors (% of respondents)

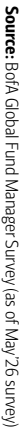


Source: BofA Global Fund Manager Survey (as of May'26 survey)

- This chart shows the full history of the biggest “tail risk” for markets according to BofA’s monthly [Global Fund Management Survey](#).
- In 2026, the biggest tail risks were seen as geopolitics in Jan, March & April, an AI bubble in February, and in May a 2nd wave of inflation.



Exhibit 53: Evolution of Global FMS “most crowded trades”
BoFA Global Fund Manager Survey: history of #1 “most crowded trade” according to investors (% of respondents)



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Where the dividend yields are

Exhibit 5.4: Dividend yield (%)

MSCI ACWI dividend yield by region and sector

ACWI	Total	Energy	Materials	Industrials	Cons. Disc.	Staples	Healthcare	Financials	IT	Telecom	Utilities	REITs
	1.6	3.3	2.03	1.5	1.1	2.7	1.9	2.7	0.5	1.0	3.2	3.4
DEVELOPED	1.5	3.2	1.9	1.5	1.0	2.7	2.0	2.6	0.5	0.9	3.1	3.7
N. America	1.1	2.9	1.4	1.2	0.6	2.4	1.8	1.8	0.4	0.7	2.8	3.3
US	1.1	2.7	1.6	1.2	0.6	2.4	1.8	1.7	0.4	0.6	2.8	3.3
Canada	2.2	3.5	1.1	1.2	2.0	1.3	-	2.7	0.2	5.8	3.2	-
Europe	2.9	4.1	2.4	1.8	2.7	3.6	2.5	4.1	0.8	3.0	3.7	3.9
UK	3.1	3.8	2.3	1.6	2.4	4.3	2.2	3.7	1.2	3.2	3.4	5.1
Switzerland	2.8	-	2.5	1.6	1.9	3.7	2.6	3.9	1.5	3.9	2.6	-
Eurozone	2.8	4.2	2.7	1.8	2.9	2.7	2.2	4.2	0.8	3.6	3.8	4.3
France	3.0	4.3	1.6	2.0	2.7	3.2	3.8	4.5	1.3	4.3	4.7	5.0
Germany	2.6	-	3.5	1.7	4.9	2.7	1.5	3.7	1.2	3.4	2.6	-
Netherlands	1.5	-	3.6	2.3	0.5	3.0	-	3.9	0.5	3.2	-	-
Spain	3.5	4.5	-	2.3	3.2	-	1.6	3.7	0.5	4.6	3.6	-
Italy	4.1	4.2	1.6	0.7	1.2	1.8	2.6	5.3	-	-	4.8	-
Asia Pacific	2.3	3.9	2.7	1.8	2.0	2.8	2.5	3.1	0.9	1.9	3.8	3.6
Japan	1.8	2.7	2.0	1.5	2.0	2.5	2.3	2.6	0.9	1.6	2.4	4.2
Australia	3.4	4.8	3.1	3.8	2.6	3.0	3.5	3.7	0.2	3.3	5.7	2.6
Hong Kong	3.5	-	-	3.4	4.2	7.0	-	2.8	-	6.9	4.5	6.5
Singapore	3.4	-	-	2.9	-	4.0	-	3.7	-	4.1	4.0	5.0
EMERGING	1.9	4.1	2.5	1.6	1.4	3.1	1.0	3.8	0.8	1.9	3.5	5.6
EM Asia	1.5	3.2	1.4	1.4	1.3	2.8	0.7	3.4	0.8	1.5	3.0	-
China	2.2	5.2	1.8	2.7	1.3	3.7	0.9	4.6	0.4	1.2	4.2	-
Korea	0.7	0.7	1.7	0.5	2.0	2.1	0.2	3.0	0.4	1.1	3.9	-
Taiwan	1.4	-	1.8	5.0	4.3	4.2	0.1	3.7	1.1	3.8	-	-
India	1.2	1.7	0.9	0.6	0.8	1.6	0.6	0.9	4.0	0.7	2.0	-
EMEA	3.7	4.8	2.7	3.0	1.9	2.4	3.2	4.1	1.9	4.0	2.5	-
South Africa	3.2	-	2.9	3.9	0.8	2.9	-	4.3	-	2.8	-	-
LATAM	4.8	6.1	4.3	3.6	3.9	4.2	12.3	5.3	2.1	3.0	5.0	5.6
Brazil	5.8	6.1	8.2	3.4	4.9	6.2	12.3	5.2	2.1	4.8	5.3	-
Mexico	3.6	-	1.6	4.1	-	3.5	-	8.0	-	2.3	-	5.6

Source: BofA Global Investment Strategy, MSCI, Datastream, P as of 5/26/26, Div as of 4/30/26

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- We finish by returning to the MSCI global markets to examine country and sector valuations around the world.
- This table shows dividend yields around the world; global equities currently yield 1.6%, which compares with a 2.2% average since 1995.
- Note two of the best performing markets of the past 20 years currently have very low dividend yields... 1.1% in the US and 1.2% in India. The current US dividend yield is close to the all-time low of 1.06% in March 2000.





Forward Price to Earnings Ratio

Exhibit 55: Forward price-to-earnings ratio

12-month forward P/E ratio by region and sector

ACWI	Total	Energy	Materials	Industrials	Cons. Disc.	Staples	Healthcare	Financials	IT	Telecom	Utilities	REITs
	18.5	12.1	14.8	21.9	21.4	19.7	17.2	12.4	23.6	20.1	16.0	12.6
DEVELOPED	19.9	12.7	16.1	22.7	22.9	19.9	17.0	13.2	27.7	21.1	16.6	13.2
N. America	21.8	14.4	16.0	25.3	27.1	22.4	17.6	14.2	27.6	21.3	17.7	-
US	22.1	14.0	16.9	25.6	27.4	22.7	17.6	14.2	27.7	21.4	17.5	-
Canada	15.7	16.0	14.0	20.2	15.8	17.7	-	14.5	23.3	12.0	21.3	-
Europe	14.8	9.0	16.3	20.8	14.2	15.9	15.3	10.4	32.8	16.8	15.0	11.1
UK	12.4	8.8	15.0	20.7	17.0	13.4	14.5	9.5	25.8	12.5	12.8	-
Switzerland	18.6	-	20.4	29.6	24.8	20.2	17.7	13.7	-	25.2	-	-
Eurozone	14.8	9.1	17.0	19.6	12.7	16.1	12.9	10.1	34.3	15.5	15.6	10.8
France	14.0	9.3	19.7	19.0	18.8	17.6	11.3	8.3	19.4	14.2	13.2	-
Germany	14.5	-	15.1	21.4	7.9	13.3	10.9	10.8	25.6	13.5	16.4	-
Netherlands	21.6	-	16.8	9.8	8.6	13.0	-	11.6	43.9	19.9	-	-
Spain	12.6	6.3	-	22.3	19.6	-	10.1	9.8	19.4	21.4	18.5	-
Italy	12.1	9.8	-	27.0	15.1	-	-	10.2	-	25.9	13.3	-
Asia Pacific	17.2	10.0	16.3	18.5	15.8	18.7	18.5	15.0	24.3	24.3	15.2	14.6
Japan	17.4	9.5	15.2	18.8	15.0	19.3	20.1	13.7	24.2	24.5	12.1	-
Australia	17.3	10.4	16.9	20.7	25.2	22.7	12.2	17.3	38.0	24.4	20.1	-
Hong Kong	15.0	-	-	13.5	11.8	-	-	15.7	-	15.7	18.0	-
Singapore	16.4	-	-	17.5	24.9	10.8	-	15.0	-	24.2	-	-
EMERGING	12.3	8.6	11.0	15.4	14.4	17.9	25.0	9.0	13.5	13.6	11.9	9.9
EM Asia	13.0	11.2	14.2	15.7	15.0	19.4	26.8	8.7	13.5	13.8	12.0	-
China	11.2	9.7	10.2	12.6	13.7	14.0	22.5	6.0	32.2	12.2	10.9	-
Korea	8.9	10.1	16.5	14.1	13.3	16.8	30.0	8.3	8.4	15.0	2.9	-
Taiwan	22.8	-	19.9	14.8	-	18.8	-	12.4	24.4	22.9	-	-
India	20.3	14.0	19.1	34.9	28.7	41.5	34.6	15.3	15.8	35.5	17.0	-
EMEA	10.0	12.1	8.1	12.3	10.1	16.4	11.7	9.9	-	12.4	15.2	-
South Africa	8.7	-	6.6	11.2	8.8	16.6	-	10.7	-	11.6	-	-
LATAM	9.2	4.4	11.0	14.3	11.2	15.8	-	8.5	15.0	12.2	10.4	9.9
Brazil	7.6	4.4	8.2	13.7	10.2	13.5	-	7.9	15.0	11.0	10.5	-
Mexico	13.3	-	14.0	14.0	-	17.5	-	8.5	-	12.7	-	-

Source: BoFA Global Investment Strategy, MSCI, Datastream, P as of 5/26/26, EPS as of 4/30/26

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- This table shows price/earnings ratios based on 12-month forward earnings. Global equities are currently trading on a forward P/E multiple of 18.5x.
- The forward P/E for DM equities is 19.9x (vs 15.1x average since '05), while EM equities are trading at 12.3x (vs 11.6x average since '06).
- P/E multiples above 20x (expensive): technology (23.6x), industrials (21.9x), telecom (20.1x), Taiwan (22.8x), US (22.1x), Netherlands (21.6x).
- P/E multiples below 10x (cheap): Brazil (7.6x), South Africa (8.7x), Korea (8.9x).

Trailing Price to Earnings ratio

Exhibit 56: Trailing price-to-earnings ratio

12-month trailing P/E ratio by region and sector

ACWI	Total	Energy	Materials	Industrials	Cons. Disc.	Staples	Healthcare	Financials	IT	Telecom	Utilities	REITs
	245	188	231	274	262	219	206	145	430	231	196	358
DEVELOPED	253	203	238	280	274	219	203	155	441	239	206	366
N. America	288	226	255	318	325	250	221	176	444	240	228	430
US	293	224	269	322	327	251	221	176	443	242	225	430
Canada	210	233	225	251	245	220	-	173	525	53	272	-
Europe	174	146	246	252	167	165	166	119	413	220	183	131
UK	158	137	276	249	187	138	156	126	313	139	179	163
Switzerland	202	-	243	359	278	202	197	143	213	264	218	-
Eurozone	177	158	232	237	155	183	158	115	451	215	182	117
France	188	161	263	210	268	205	176	119	267	237	161	117
Germany	159	-	197	295	79	129	99	122	314	131	134	-
Netherlands	269	-	390	125	272	151	158	119	581	222	-	-
Spain	149	79	-	270	217	-	129	109	202	-	192	-
Italy	142	204	87	327	140	163	232	105	-	629	226	-
Asia Pacific	203	205	190	217	186	232	191	164	421	256	145	209
Japan	208	276	213	220	177	228	198	147	420	259	97	241
Australia	200	169	180	246	272	433	147	195	464	287	231	211
Hong Kong	175	-	-	159	141	91	-	182	-	171	199	205
Singapore	176	-	-	214	302	118	-	156	-	215	118	195
EMERGING	199	117	206	226	197	217	359	102	382	171	137	99
EM Asia	226	150	290	255	211	239	379	96	382	176	126	-
China	138	129	178	150	210	181	343	62	417	157	107	-
Korea	299	-	-	329	139	246	659	101	396	201	31	-
Taiwan	339	-	-	155	115	200	957	151	380	247	-	-
India	246	149	308	473	395	489	352	180	189	489	195	-
EMEA	129	164	178	157	108	196	148	113	-	143	181	-
South Africa	134	-	155	128	87	179	-	127	-	165	-	-
LATAM	118	60	148	115	161	186	632	110	256	163	145	99
Brazil	100	60	99	96	243	137	632	110	256	156	148	-
Mexico	164	-	215	177	-	216	-	88	-	165	-	99

Source: BoFA Global Investment Strategy, MSCI, Datastream, P as of 5/26/26, EPS as of 4/30/26

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- This table shows 12-month trailing price/earnings ratios; global equities are currently trading on a trailing P/E multiple of 25.3x.
- The US trailing P/E is now at 29.3x, with tech trading at the highest P/E (44.3x) among US sectors.



Country & Sector Price to Book ratios

Exhibit 57: Price-to-book ratio

Price-to-book ratio by region and sector

	Total	Energy	Materials	Industrials	Cons. Disc.	Staples	Healthcare	Financials	IT	Telecom	Utilities	REITs
ACWI	3.9	2.1	2.6	4.6	4.0	4.7	4.4	1.8	11.3	4.7	2.2	2.7
DEVELOPED	4.1	2.2	2.7	4.8	4.6	4.8	4.4	2.0	12.9	5.2	2.3	2.7
N.America	5.6	2.6	3.3	7.5	9.0	7.2	5.1	2.3	14.5	6.1	2.4	3.5
US	5.9	2.5	3.4	7.9	9.2	7.4	5.1	2.3	14.6	6.1	2.5	3.5
Canada	2.8	3.0	3.1	3.3	4.1	3.7	-	2.3	7.7	1.6	2.1	-
Europe	2.4	1.6	2.3	4.5	1.8	3.1	3.7	1.6	7.2	2.3	2.4	0.8
UK	2.3	1.6	3.0	7.5	3.4	3.2	4.7	1.5	9.5	1.0	2.2	0.8
Switzerland	4.1	-	3.6	11.6	3.6	5.8	5.5	2.1	6.9	2.8	1.4	-
Eurozone	2.2	1.6	1.8	3.9	1.5	2.3	1.9	1.5	7.6	2.4	2.4	0.8
France	2.1	1.6	2.5	3.8	2.6	2.8	1.6	1.0	2.6	1.9	2.6	0.8
Germany	1.9	-	1.5	4.1	0.6	1.4	1.5	1.7	4.6	2.3	1.6	-
Netherlands	4.3	-	1.3	2.3	4.3	2.6	2.0	1.4	20.5	7.5	-	-
Spain	2.2	1.1	-	5.4	6.5	-	1.2	1.7	5.4	2.2	2.7	-
Italy	2.0	1.6	1.1	4.8	1.8	1.8	5.4	1.7	-	1.3	3.5	-
Asia Pacific	2.0	1.0	2.3	2.1	1.6	2.2	2.2	1.9	4.6	2.5	1.4	1.3
Japan	2.0	1.0	1.4	2.3	1.4	1.9	2.2	1.5	4.7	2.4	0.9	1.4
Australia	2.5	1.1	3.3	5.0	8.9	8.3	2.1	2.2	3.7	4.5	2.7	1.6
Hong Kong	1.3	-	-	0.8	2.4	1.3	-	3.2	-	2.4	1.7	0.7
Singapore	2.0	-	-	2.4	3.8	0.8	-	2.0	-	2.8	2.0	1.1
EMERGING	2.6	1.5	2.2	2.9	2.1	3.4	3.9	1.3	6.9	2.6	1.5	0.7
EM Asia	2.8	1.4	1.9	2.9	2.1	3.7	3.9	1.1	6.9	2.6	1.5	-
China	1.5	1.1	2.4	1.5	2.1	2.7	3.1	0.7	3.9	2.5	1.1	-
Korea	3.3	1.4	0.7	3.8	1.2	3.0	4.2	1.0	5.8	1.4	0.5	-
Taiwan	5.8	-	1.1	1.6	3.0	3.4	11.6	1.5	8.7	3.5	-	-
India	3.4	1.8	3.3	9.4	6.0	10.4	5.6	2.3	5.5	7.8	2.5	-
EMEA	2.0	1.9	2.9	1.8	2.1	3.5	2.7	1.7	4.6	2.6	1.5	-
South Africa	2.4	-	3.5	2.1	1.7	4.3	-	2.0	-	2.8	-	-
LATAM	2.1	1.5	2.3	3.6	1.4	2.9	4.0	2.1	3.3	2.9	1.7	0.7
Brazil	1.9	1.5	1.7	3.0	1.8	2.5	4.0	2.1	3.3	1.8	1.7	-
Mexico	2.6	-	2.8	3.9	-	3.2	-	1.9	-	3.8	-	0.7

Source: BoFA Global Investment Strategy, MSCI, Datastream, P as of 5/26/26, EPS as of 4/30/26

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- We end with a table showing price-to-book value ratios; global equities are currently trading at 3.9x book value.
- Price-to-book ratios above 4.0x (expensive): technology (11.3x), consumer staples (4.7x), telecom (4.7x), industrials (4.6x), US (5.9x), Taiwan (5.8x).
- Price-to-book ratios below 2.0x (cheap): financials (1.8x), Hong Kong (1.3x), China (1.5x), Germany (1.9x).

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